

ADVISERS / CLIENT CONVERSATIONS / INFORMED DECISIONS

Financial Advice English

Make goals concrete. Explain choices clearly. Keep trust grounded in facts.

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Eight scenarios. Eight extended conversations.

INSIDE THE BOOK

192 vocabulary entries / 128 reusable phrases

160 dialogue turns / 80 numbered dialogue gaps

Word banks and explained answer keys

Upper-intermediate to advanced (B2-C1). For financial advisers, planners, client-service colleagues, and supervised advice teams.

2026 edition

Eight scenarios. Eight skills.

Guide a client conversation from discovery through explanation, documentation, and follow-through.

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Reassurance is not a guarantee.

Clients bring goals, incomplete information, uncertainty, and sometimes strong emotion. Effective advice English makes room for those concerns while keeping costs, risks, assumptions, and authority clear. These fictional cases practice communication, not recommendations for real portfolios.

Ask for the missing fact

Translate a broad goal into the amount, date, priority, and constraints needed for analysis. Explain why the information matters instead of treating a questionnaire as the conversation.

"Which spending estimate and retirement date should the first illustration use?"

Name the relationship

Clients need to know the service, professional capacity, fee basis, and limits that apply. A title alone does not explain what the firm will do or how it is paid.

"Let us use the current relationship summary and agreement to check the service and charges."

Preserve client agency

Explain relevant alternatives and check understanding without pressuring the client or confusing a question with an instruction. Family involvement does not itself confer account authority.

"We can compare the options before you decide; no change is authorized by this discussion."

Make uncertainty specific

Identify which result is historical, which is modeled, and which information is missing. A useful qualification tells the client what changes the conclusion and what happens next.

"This chart uses a constant return assumption; actual returns and spending can differ."

PROFESSIONAL BOUNDARIES

Fictional English-language practice, not personalized financial, investment, insurance, tax, or legal advice. US terminology is used where identified; professional duties and account rules vary. Actual recommendations require current documents, client facts, applicable rules, and qualified review. No product or transaction is endorsed.

Turning a retirement wish into usable planning facts

A Read the situation

Clarify an imprecise client goal and explain the information needed before an individualized recommendation.

Leah tells adviser Sam, "I want to retire comfortably." She has not supplied a target date, spending estimate, or current asset and liability summary. The introductory meeting covers discovery and the proposed planning service; no engagement scope or investment recommendation has been finalized. Leah asks whether a single savings target can be supplied immediately. Sam can explain the process and request information through the approved secure channel, but cannot responsibly fill the missing facts with assumptions presented as her circumstances.

PEOPLE / Leah: Prospective client | Sam: Financial adviser

MAKE DISCOVERY COLLABORATIVE, NOT INTERROGATIVE

A client may not yet have exact numbers. Explain which estimate is needed first, distinguish a provisional input from a verified fact, and acknowledge the goal in the client's own words. A warm response can still be clear that a reliable recommendation requires more information.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which key facts are missing?

- | | |
|--|--|
| A A confirmed trading instruction | B Retirement date, spending estimate, and current financial summary |
| C A guaranteed investment product | D A completed tax return prepared by Sam |

2. What is the current meeting's purpose?

- | | |
|---|--|
| A Discovery and explanation of the proposed planning service | B Execution of an approved portfolio change |
| C Confirmation of guaranteed retirement income | D Acceptance of a final savings target |

3. How should any provisional number be described?

- | | |
|---|--|
| A As automatic permission to trade | B As an assumption to check, not a verified client fact |
| C As Leah's confirmed financial position | D As guaranteed investment performance |

Answers and explanations: [page 76](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

discovery meeting

An initial discussion to understand a client's circumstances and aims.

IN USE conduct a discovery meeting

fact-find

Structured collection of information relevant to planning or advice.

IN USE complete the client fact-find

planning scope

The agreed topics and services included in a planning assignment.

IN USE define the planning scope

engagement agreement

Terms describing the professional relationship and services.

IN USE review the engagement agreement

financial goal

A desired outcome expressed with relevant amount, timing, and priority.

IN USE clarify a financial goal

target retirement date

The date or period the client aims to stop or reduce work.

IN USE confirm the target retirement date

spending estimate

An approximation of expected outgoings on a stated basis.

IN USE build a spending estimate

essential spending

Costs the client treats as necessary for basic or committed needs.

IN USE identify essential spending

discretionary spending

Outgoings the client has greater ability to adjust.

IN USE distinguish discretionary spending

household cash flow

Money received and paid by a household over a period.

IN USE review household cash flow

asset summary

An account of owned resources and their relevant characteristics.

IN USE prepare an asset summary

liability summary

An account of debts and other obligations.

IN USE update the liability summary

Precision check

Comfortably is a useful expression of a goal, not a defined spending amount. A date and spending estimate need a basis: today's money or future amounts, household or individual, before or after tax. Do not silently choose those meanings for the client.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

net worth

Assets less liabilities on a defined valuation basis.

IN USE estimate household net worth

pension statement

A record of pension information issued by a plan or provider.

IN USE obtain a current pension statement

income source

An identified origin of household receipts.

IN USE verify each income source

dependant

A person relying on the client for financial support in context.

IN USE identify financial dependants

emergency reserve

Resources intended for unexpected needs, with access and amount requiring context.

IN USE discuss the emergency reserve

time horizon

The period before or over which money is expected to be needed.

IN USE distinguish planning time horizons

constraint

A condition limiting available choices.

IN USE document a planning constraint

priority

Relative importance assigned to a goal or need.

IN USE confirm the client's priority

planning assumption

A provisional input used to explore possible outcomes.

IN USE label a planning assumption

information gap

Missing data relevant to the assessment.

IN USE identify an information gap

secure channel

An approved protected route for exchanging sensitive information.

IN USE use the secure document channel

scope limitation

A boundary on what the engagement or analysis covers.

IN USE explain a scope limitation

Precision check

Discovery is not automatically a finalized engagement or a recommendation. Estimates can support an initial illustration when clearly labeled, but the adviser should not present invented assets, income, priorities, or authority as confirmed client facts.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE THE AIM

"You want retirement to feel financially secure and manageable."

CLARIFY SPENDING

"Does that estimate cover the household or only your own spending?"

SEPARATE PRIORITIES

"Which costs are essential, and which could change?"

LIMIT THE ESTIMATE

"An initial illustration would use assumptions that we need to verify."

MAKE IT CONCRETE

"What timing should we use for your target retirement date?"

CHECK THE BASIS

"Are these amounts in today's money or projected future amounts?"

REQUEST THE RECORD

"Please provide current asset, liability, and pension information through the secure channel."

CLOSE THE MEETING

"We will confirm the information and service scope before a personalized recommendation."

Comfortable and sufficient

These words need the client's meaning; they do not specify a universal amount.

Today's money

This phrase identifies purchasing-power basis and should not be confused with a future nominal amount.

Could versus can confirm

Could introduces a possible illustration; can confirm claims that a fact is established.

Phrases you can actually use

C Notice the language / 2 of 2

AVOID A PROMISE

"I cannot give a reliable single target from the goal alone."

PRESERVE AGENCY

"Reviewing the information does not authorize an investment change."

IDENTIFY UNCERTAINTY

"We can record a provisional range without treating it as confirmed spending."

SUMMARIZE ACCURATELY

"The goal is clear; the amount, timing, and current position remain incomplete."

CLARIFY SERVICES

"The proposed scope does not automatically include tax or legal advice."

EXPLAIN A REQUEST

"The dates and spending basis affect how we interpret the target."

CONFIRM THE HOUSEHOLD

"Who relies on the income included in this plan?"

CHECK UNDERSTANDING

"Does this summary distinguish your confirmed facts from our open questions?"

Scope wording

Included, excluded, and referred for specialist advice describe service boundaries plainly.

Estimated versus verified

Keep the status next to the number instead of relying on a general caveat elsewhere.

Client-centered summary

Use the client's stated goal without adding an investment preference they have not expressed.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which response best develops the vague goal?

- A** A comfortable retirement is guaranteed if you sign today.
- B** Your missing asset total must be zero.
- C** Let us clarify the retirement date, spending basis, and current financial position.
- D** Everyone needs exactly the same retirement amount.

2. Which question clarifies the spending basis?

- A** Can we assume it excludes every tax?
- B** Would a larger font make the estimate reliable?
- C** Should I replace your estimate with a universal number?
- D** Is the amount for the household and expressed in today's money?

3. Which statement correctly limits an initial illustration?

- A** It uses labeled assumptions that still need verification.
- B** It proves the final recommended target.
- C** It confirms every unknown asset value.
- D** It authorizes purchases in the account.

4. Which route fits the sensitive document request?

- A** A public discussion board
- B** An unverified message recipient
- C** A shared link open to anyone
- D** The firm's approved secure channel

[Answers and explanations: page 76.](#)

Turning a retirement wish into usable planning facts

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

today's money / commitment / target / asset summary / essential spending / planning scope / time horizon / planning assumption / engagement agreement / secure channel

- 01 **Leah:** I want to retire comfortably, but I do not know what number to aim for. Can you give me a savings target before we finish today?
- 02 **Sam:** We can clarify the goal first. A useful ¹ _____ depends on when you expect to retire, your spending needs, and the resources already available.
- 03 **Leah:** I might stop full-time work in several years, although part-time work could remain an option. I have not chosen an exact date.
- 04 **Sam:** Let us record that as an open ² _____, not a fixed retirement date. We can examine alternatives without treating either one as your confirmed instruction.
- 05 **Leah:** I can provide recent household bills. Travel and future healthcare costs are less certain, so my first spending estimate would be incomplete.
- 06 **Sam:** Separate ³ _____ from the more adjustable items. We can mark uncertain amounts clearly rather than filling the gaps with figures that look precise but lack support.
- 07 **Leah:** Should the estimate describe what those things cost now, or what they might cost in the year I stop working? Those numbers could be quite different.
- 08 **Sam:** Exactly. Identify whether it is in ⁴ _____ or future amounts. We also need to know whether it covers your household and whether taxes are included in the estimate.
- 09 **Leah:** I have account statements in several places, plus a pension statement and a mortgage. I do not have a single page showing my current position.
- 10 **Sam:** An ⁵ _____ will help, alongside the liabilities and income sources. Use current statements where available and label anything still estimated or missing.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 10.

- 11 **Leah:** I would rather not email the details to an unverified address. How should I send the documents?
- 12 **Sam:** Use our approved ⁶ _____. I will explain how to verify and access it through our established contact route, without asking you to post private information publicly.
- 13 **Leah:** Will the planning service also decide the legal and tax questions connected to retirement? I do not want to assume those are included just because they affect the plan.
- 14 **Sam:** We need to agree the ⁷ _____. I will explain our services and boundaries, including where a qualified tax or legal professional's separate input may be needed.
- 15 **Leah:** Once you have the documents, could you show a preliminary illustration even if a few spending amounts are still approximate? Seeing the assumptions might help me check them.
- 16 **Sam:** Yes, where appropriate, with each ⁸ _____ visible. An illustration can organize the discussion, but it must not disguise an uncertain input as a fact or guarantee the result.
- 17 **Leah:** I also support a family member occasionally. It is not the same amount every year, but it could matter to the spending estimate and the flexibility I have.
- 18 **Sam:** Include that ⁹ _____ with its uncertainty and importance to you. We should understand your priorities rather than assume every optional-looking payment is something you would comfortably stop.
- 19 **Leah:** Let me check the next step: I gather current records, clarify the spending basis, and identify possible retirement timing. This conversation does not approve any investment change.
- 20 **Sam:** Correct. We will review the information and proposed ¹⁰ _____ before finalizing the scope and an individualized recommendation. Today's goal is a clear starting point, not an unsupported answer.

ANSWERS / EXPLANATIONS: PAGE 77

1. target | 2. time horizon | 3. essential spending | 4. today's money | 5. asset summary | 6. secure channel | 7. planning scope | 8. planning assumption | 9. commitment | 10. engagement agreement

A goal without a currency

F Say it

A client says they need "forty thousand a year" but has not identified the currency, household scope, or whether the amount is before or after tax. No target has been approved.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

household / input / tax / currency

Adviser: "First, which ¹ _____ does the amount use?"

Client: "I also need to clarify whether it covers the whole ² _____."

Adviser: "Please specify whether the figure is before or after ³ _____."

Client: "Until then, treat it as an incomplete planning ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 77

1. currency | 2. household | 3. tax | 4. input

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

What the advisory fee includes, and what it does not

A Read the situation

Explain compensation, additional costs, and conflicts using current disclosures and a bounded illustration.

Client Rosa asks adviser Evan how the firm is paid. The fictional advisory agreement charges 1% per year on the defined billable asset value, billed quarterly under its stated calculation method. For a simple illustration only, assume a constant \$500,000 billable balance for a full year. Product expenses and certain third-party charges are additional, not included in that 1%. Evan has the current agreement and relationship disclosures. No assurance that conflicts are absent or that a fee depends on positive returns is supported.

PEOPLE / Rosa: Client | Evan: Adviser

EXPLAIN THE INCENTIVE AS WELL AS THE PRICE

A client asking about compensation is testing how the relationship works, not necessarily accusing the adviser of bad faith. Give the fee basis, services, excluded costs, and relevant incentives plainly. Disclosure informs the conversation; it is not a reason to avoid explaining a conflict.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the annual advisory-fee illustration on the stated constant balance?

- | | |
|-------------------|------------------|
| A \$50,000 | B \$1,000 |
| C \$5,000 | D \$500 |

2. Which costs are included in the 1% according to the case?

- | | |
|---|--|
| A Every possible investment cost | B All taxes and legal fees |
| C Only costs when returns are positive | D The defined advisory fee, not all product and third-party charges |

3. What documents should guide Evan's explanation?

- | | |
|---|--|
| A A previous firm's brochure | B An invented no-conflict guarantee |
| C The current agreement and relationship disclosures | D An assumed universal industry fee |

Answers and explanations: page 78.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

advisory capacity

Acting in the role of an investment adviser under the relevant relationship.

IN USE clarify advisory capacity

brokerage capacity

Acting in a brokerage role for the relevant service or transaction.

IN USE identify brokerage capacity

dual registrant

A firm registered for both brokerage and investment-advisory activities in the US context.

IN USE explain a dual registrant's roles

standard of conduct

The professional or legal duties applying in the relevant circumstances.

IN USE explain the applicable standard of conduct

fiduciary duty

Duties of loyalty and care arising in a legally defined relationship.

IN USE clarify the scope of fiduciary duty

best interest

A conduct requirement or objective whose precise duties depend on applicable rules.

IN USE discuss the best-interest obligation

Form CRS

A US retail relationship summary for covered brokerage and advisory firms.

IN USE review the current Form CRS

disclosure

Information provided about material terms, risks, costs, or conflicts.

IN USE explain the relevant disclosure

compensation

Payment or other benefit received for services or activity.

IN USE describe the compensation arrangement

asset-based fee

A charge calculated using a defined measure of assets.

IN USE explain the asset-based fee

billable assets

Assets included in the contractual fee calculation.

IN USE identify billable assets

billing period

The interval for which charges are calculated or collected.

IN USE confirm the billing period

Precision check

The \$5,000 figure illustrates 1% of a constant \$500,000 billable balance for a full year. Actual quarterly bills follow the agreement's valuation, timing, and adjustment method. Do not present this simple illustration as a verified invoice or an all-in cost.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

fee schedule

A statement of charges and how they are determined.

IN USE consult the current fee schedule

commission

Transaction-related compensation under the relevant arrangement.

IN USE disclose the commission structure

markup

An amount added to a transaction price under the relevant dealing arrangement.

IN USE explain a transaction markup

expense ratio

A fund's annual operating expenses relative to its specified asset measure.

IN USE identify the fund expense ratio

custody fee

A charge for specified account or asset-holding services.

IN USE check applicable custody fees

third-party charge

A cost imposed by another provider rather than the quoted service fee.

IN USE identify third-party charges

wrap fee

A bundled charge covering specified services and transactions, not necessarily every cost.

IN USE review wrap-fee exclusions

conflict of interest

An interest or incentive that may affect judgment or conduct.

IN USE disclose a relevant conflict of interest

incentive

A potential reward or pressure influencing a choice.

IN USE explain the financial incentive

referral payment

Compensation for directing business to another party.

IN USE disclose a referral payment

conflict mitigation

Steps intended to reduce the effect or risk of a conflict.

IN USE explain conflict-mitigation measures

informed decision

A choice made with adequate understanding of relevant information.

IN USE support an informed decision

Precision check

An asset-based advisory fee is not inherently payable only when returns are positive. Disclosure of a conflict does not mean the conflict disappears or that every legal obligation is satisfied. The service, professional capacity, applicable rules, and actual incentives need accurate explanation.

Phrases you can actually use

C Notice the language / 1 of 2

NAME THE ARRANGEMENT

"This advisory service uses the fee basis in the current agreement."

BOUND THE ILLUSTRATION

"At a constant \$500,000 for a full year, that illustrates \$5,000."

IDENTIFY EXCLUSIONS

"Product expenses and certain third-party charges are additional."

EXPLAIN INCENTIVES

"An asset-based fee creates an incentive related to the assets under advice."

STATE THE RATE

"The stated annual advisory rate is 1% of defined billable assets."

EXPLAIN BILLING

"Actual quarterly bills follow the agreement's calculation method."

AVOID A FALSE CONDITION

"The fee is not described as payable only after a positive return."

CLOSE WITH THE DOCUMENTS

"Let us review the services, costs, and conflicts together."

Per year versus per quarter

A rate quoted annually can be billed quarterly; do not imply that the annual percentage is charged four times.

On versus of

A fee on assets identifies its base; one percent of the stated balance calculates the simple illustration.

Included and additional

These words define cost boundaries and should appear near the headline fee.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY CAPACITY

"Which role and service are we discussing for this account?"

SEPARATE LAYERS

"The adviser charge and product expenses are different cost components."

EXPLAIN MITIGATION

"The documents describe how relevant conflicts are addressed."

PRESERVE UNCERTAINTY

"I will verify that additional charge before quoting an amount."

DEFINE THE BASE

"Not every quoted account value necessarily equals billable assets."

REJECT AN ABSOLUTE

"I cannot describe the relationship as conflict-free merely because disclosures exist."

INVITE A PRECISE QUESTION

"Which charge or exclusion would you like me to locate in the agreement?"

CONFIRM UNDERSTANDING

"The 1% is the advisory rate, not a promise that all costs are included."

Conflict language

Describe the actual incentive and response, not only a reassuring claim of independence.

Conditional quotations

A fee example tied to a constant balance is not a bill when the actual valuation method differs.

Relationship precision

A firm may offer different services; the applicable role should be clear for the specific discussion.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which explanation keeps the fee illustration bounded?

- A** One percent of a constant \$500,000 illustrates \$5,000 annually; actual billing follows the agreement.
- B** Every quarterly invoice is definitely \$5,000.
- C** The fee is exactly \$500 per year for every account.
- D** The example proves all costs are included.

2. Which response accurately addresses additional costs?

- A** Product expenses and certain third-party charges are separate from the advisory fee.
- B** No other cost can ever apply.
- C** Taxes are automatically covered by the 1%.
- D** Every product has a zero expense ratio.

3. Which statement avoids overstating disclosure's effect?

- A** Disclosure means no further duties apply.
- B** Disclosures explain relevant conflicts; they do not make the incentives vanish.
- C** Signing a disclosure removes every conflict.
- D** A disclosed incentive can never matter.

4. Which question clarifies the fee base?

- A** Did the brochure use a blue heading?
- B** Can we assume gross gains are the only fee base?
- C** Does one good month cancel all fees?
- D** Which assets and valuation method determine the billable amount?

Answers and explanations: page 78.

What the advisory fee includes, and what it does not

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

informed decision / product expenses / billing period / asset-based fee / illustration / relationship summary / disclosure / billable assets / conflict of interest / capacity

- 01 **Rosa:** I understand that advice has a cost, but I am not clear how you are paid. Does the one-percent figure apply only when my account makes a profit?
- 02 **Evan:** It is an ¹ _____ under this agreement, not a share of positive returns. Let us look at the calculation and the services it covers.
- 03 **Rosa:** If the relevant balance stayed at five hundred thousand dollars for a year, what would that percentage mean in dollars before any other charges?
- 04 **Evan:** On that simple assumption, the annual ² _____ is five thousand dollars. Actual invoices follow the agreement's valuation, timing, and adjustment method rather than this simplified example alone.
- 05 **Rosa:** Does quarterly billing mean the annual percentage is charged four times? I want to check that I understand the difference.
- 06 **Evan:** Correct. The ³ _____ differs from the annual rate quotation. We should read the precise method together, including any adjustments, before describing an actual quarterly amount.
- 07 **Rosa:** Does the one percent include the costs inside the investments, or could those reduce my account separately even though they do not appear as the adviser fee?
- 08 **Evan:** The case agreement identifies ⁴ _____ and certain third-party charges as additional. I will distinguish those from our advisory fee instead of calling the rate an all-in cost.
- 09 **Rosa:** Is every asset on the account statement included in the amount used to calculate your charge?
- 10 **Evan:** We need the definition of ⁵ _____ in the agreement. The visible account total alone does not establish the contractual fee base or which exclusions apply.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 19.

- 11 **Rosa:** How does this payment arrangement affect your incentives? If the fee depends on assets under advice, keeping more assets here could affect what the firm earns.
- 12 **Evan:** That is a relevant ⁶ _____ to explain. We should discuss the actual incentive and how it is addressed, using the current disclosures rather than simply claiming there are no conflicts.
- 13 **Rosa:** Does receiving the disclosure mean the conflict disappears or that I have agreed to every recommendation? I would still expect an explanation of the reasons for a proposed action.
- 14 **Evan:** Exactly. A ⁷ _____ informs you; it does not erase the incentive or replace other applicable obligations. We still need to explain recommendations within the relevant relationship and rules.
- 15 **Rosa:** I have seen firms offering brokerage and advisory services. Should I know which role applies before comparing charges or expectations about ongoing monitoring?
- 16 **Evan:** Yes. Clarify the professional ⁸ _____ and the service involved. A firm's general title is not enough to describe the role, agreement, or duties for a particular account.
- 17 **Rosa:** Where can I find a concise summary pointing me to the relevant services, costs, and conflicts before reading the detailed provisions?
- 18 **Evan:** The current ⁹ _____ is a starting point, alongside the agreement and fuller disclosures. We can locate the relevant sections together and verify any charge I cannot confirm immediately.
- 19 **Rosa:** My understanding is that the one percent is an annual advisory rate on defined assets, additional costs may apply, and positive returns are not a condition of the fee.
- 20 **Evan:** That captures the important distinctions. The purpose is an ¹⁰ _____, with the services, calculation basis, exclusions, and incentives clear before you decide how to proceed.

ANSWERS / EXPLANATIONS: PAGE 79

1. asset-based fee | 2. illustration | 3. billing period | 4. product expenses | 5. billable assets | 6. conflict of interest | 7. disclosure | 8. capacity | 9. relationship summary | 10. informed decision

A quoted bundle has exclusions

F Say it

A fictional fee bundle includes advisory services and specified transaction charges. The current disclosure excludes fund expenses and certain custody charges. A client asks whether bundle means every cost is included.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

charges / specified / exclusions / guarantee

Adviser: "The bundle covers the ¹ _____ services, not every possible cost."

Client: "Please show the fund expenses and custody ² _____ separately."

Adviser: "The current disclosure lists those ³ _____."

Client: "Then the bundle is not an all-cost ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 79

1. specified | 2. charges | 3. exclusions | 4. guarantee

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Comfortable with risk, but buying a home next year

A Read the situation

Distinguish willingness to take risk from capacity for loss and the timing of a specific goal.

Client Theo says he is comfortable with investment risk, but expects to need \$60,000 for a home purchase in twelve months. The purchase date has limited flexibility. Adviser Nia has not yet verified the household reserves, other assets, or funding alternatives. No allocation or trade is approved. For discussion only, Nia uses a hypothetical 20% decline on the \$60,000 amount, which would leave \$48,000 before any other effects. This is a stress example, not a forecast.

PEOPLE / Theo: Client | Nia: Adviser

A RISK LABEL IS NOT THE WHOLE CLIENT PROFILE

A client can be willing to experience market fluctuations while having little flexibility about a near-term payment. Ask about the specific goal, timing, and consequences of a loss without challenging the client's confidence or treating a questionnaire label as a complete recommendation.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the stated near-term need?

- | | |
|---|--|
| A Unlimited funds with no date | B \$60,000 for a home purchase in twelve months |
| C Guaranteed retirement income next week | D A confirmed \$48,000 purchase price |

2. What does the 20% decline represent?

- | | |
|--|--|
| A A guaranteed market decline | B Theo's actual recorded loss |
| C An approved trading instruction | D A hypothetical stress example, not a forecast |

3. Which facts still require verification?

- | | |
|---|--|
| A Whether the purchase need is \$60,000 | B The arithmetic of the stated 20% example |
| C Reserves, other assets, and funding alternatives | D Whether Theo expressed willingness to take risk |

Answers and explanations: [page 80](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

risk profile

A combined account of risk attitudes, needs, capacity, and relevant circumstances.

IN USE update the risk profile

risk tolerance

Willingness to accept uncertainty or loss in pursuit of an objective.

IN USE assess stated risk tolerance

risk capacity

Financial ability to withstand adverse outcomes without undermining needs.

IN USE distinguish risk capacity from tolerance

required return

A modeled return needed to meet a goal under specified assumptions.

IN USE examine the required-return assumption

investment objective

The intended purpose or outcome of an investment approach.

IN USE clarify the investment objective

liquidity need

A requirement to access funds at a particular time or under certain conditions.

IN USE identify near-term liquidity needs

capital preservation

An objective of protecting the amount invested, subject to actual risks.

IN USE discuss the capital-preservation objective

investment horizon

The period over which an investment is intended to support a goal.

IN USE match the investment horizon to the goal

goal flexibility

Ability to change the amount, timing, or priority of an objective.

IN USE assess goal flexibility

funding gap

A difference between resources available and an amount required.

IN USE quantify the funding gap

stress scenario

An adverse hypothetical used to examine consequences.

IN USE explain a stress scenario

loss threshold

A specified loss level relevant to review or client concerns.

IN USE clarify the loss threshold

Precision check

Risk tolerance describes willingness; capacity concerns the financial consequences a client can withstand. The \$60,000 home goal has a short horizon and limited timing flexibility. That need cannot be erased by labeling Theo generally comfortable with risk.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

asset class

A category of investments with shared broad characteristics.

IN USE compare asset-class exposures

strategic allocation

A longer-term target distribution among investment categories.

IN USE review the strategic allocation

tactical allocation

A shorter-term allocation adjustment within a defined approach.

IN USE distinguish tactical from strategic allocation

diversification

Spreading exposures to reduce some concentration risks, not all losses.

IN USE explain diversification limits

correlation

A measure of how variables move together in the measured setting.

IN USE assess changing correlations

concentration

A large or dependent exposure to a particular source of risk.

IN USE identify portfolio concentration

investment constraint

A restriction affecting investment choices or implementation.

IN USE document an investment constraint

IPS

Investment policy statement, recording agreed objectives and investment guidelines.

IN USE review the IPS

target weight

An intended proportion of a portfolio assigned to an exposure.

IN USE specify the target weight

allocation range

Permitted or intended bounds around an allocation under a stated policy.

IN USE define an allocation range

rebalancing trigger

A condition prompting review or action to restore the intended allocation.

IN USE agree a rebalancing trigger

suitability assessment

Evaluation of a proposed approach against relevant client facts and rules.

IN USE support the suitability assessment

Precision check

A 20% decline from \$60,000 leaves \$48,000 and a \$12,000 gap to the stated goal. This arithmetic illustrates consequences, not the probability of loss or a recommended investment. Diversification can reduce some risks but does not guarantee capital preservation.

Phrases you can actually use

C Notice the language / 1 of 2

03

ACKNOWLEDGE WILLINGNESS

"You are comfortable with fluctuations; let us check the consequences for this goal."

CLARIFY TIMING

"How flexible is the twelve-month purchase date?"

LABEL THE EXAMPLE

"This is a hypothetical decline, not a prediction."

PRESERVE MISSING FACTS

"The reserves and alternative funding sources are not yet verified."

SEPARATE THE GOAL

"The home-purchase money has a different horizon from long-term savings."

TEST CAPACITY

"What resources would cover a shortfall without disrupting essential needs?"

QUANTIFY THE EFFECT

"A 20% decline would leave \$48,000 of the \$60,000 amount."

CLOSE WITH THE PROFILE

"We will document the goal and constraints before recommending an allocation."

Willing versus able

Willing describes preference; able concerns resources and consequences. Neither alone completes the assessment.

Would under a scenario

Conditional wording identifies the effect of a hypothetical without claiming it will occur.

For this goal

This qualifier prevents a conclusion about one need from automatically covering the whole household portfolio.

Phrases you can actually use

C Notice the language / 2 of 2

03

AVOID A SHORTCUT

"A questionnaire label does not settle the allocation for every goal."

CLARIFY A NEED

"Is the \$60,000 required in full at the purchase date?"

EXPLAIN DIVERSIFICATION

"It may reduce concentration risk, but it cannot guarantee against loss."

CHECK A CHANGE

"Has the goal's timing or flexibility changed since the last review?"

DISTINGUISH CONCEPTS

"Willingness to accept risk is different from financial capacity for loss."

KEEP AGENCY

"No trade is authorized by this discussion."

DOCUMENT THE GUIDELINE

"The investment policy should reflect the agreed objectives and limits."

CONFIRM THE SUMMARY

"This goal needs its own assessment within the wider household plan."

Not yet verified

Use this phrase for missing evidence without implying that the resources do not exist.

Can reduce versus prevents

Diversification may reduce certain risks; prevents loss would make an unsupported guarantee.

Before recommending

This sequence keeps information gathering distinct from a completed allocation decision.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which statement distinguishes tolerance and capacity?

- A** Comfort with risk proves every goal can tolerate loss.
- B** A short horizon eliminates all risk.
- C** Capacity is simply another word for confidence.
- D** A client may accept fluctuations emotionally but lack funds to absorb a near-term loss.

2. What is the gap after the stated stress decline?

- A** \$60,000
- B** \$1,200
- C** \$12,000
- D** \$48,000

3. Which description correctly limits the example?

- A** A hypothetical consequence used to discuss flexibility
- B** A guaranteed twelve-month market result
- C** Proof of an actual account loss
- D** An instruction to sell every asset

4. Which next step fits the incomplete information?

- A** Treat a risk label as an approved trade.
- B** Verify resources and record the goal's constraints before recommending.
- C** Apply the same allocation to all goals immediately.
- D** Assume unknown reserves are unlimited.

Answers and explanations: [page 80](#).

Comfortable with risk, but buying a home next year

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

stress scenario / funding gap / Diversification / IPS / investment constraints / risk profile / liquidity need / risk tolerance / goal flexibility / risk capacity

- 01 **Theo:** I put comfortable with risk on the questionnaire. I do not want that answer ignored just because I also plan to buy a home next year.
- 02 **Nia:** Your stated ¹ _____ matters. We also need to understand what a loss would mean for the specific sixty-thousand-dollar payment and its timing.
- 03 **Theo:** The purchase date is not very flexible. I could consider a different property, but I cannot assume the seller would wait for my investments to recover.
- 04 **Nia:** That limited ² _____ is important. The home money has a different purpose and horizon from funds you might leave invested for much longer.
- 05 **Theo:** I can accept seeing a statement fluctuate. The harder question is whether I could still complete the purchase if the value were lower when payment is due.
- 06 **Nia:** Exactly. That concerns ³ _____, not just comfort. We need to verify your reserves and other funding options rather than assume you could replace a shortfall.
- 07 **Theo:** I have not gathered those records yet. Some savings are already intended for household emergencies, and I do not want to count them twice without discussing that purpose.
- 08 **Nia:** We will separate each ⁴ _____ and any restrictions. An asset total alone does not tell us which money is available for this particular purchase.
- 09 **Theo:** Could you show the effect of a decline in dollars? A risk category is less useful to me than seeing how the home-payment amount might change.
- 10 **Nia:** Use this ⁵ _____ only as an illustration: a twenty-percent decline on sixty thousand would leave forty-eight thousand, before any other effects.

The conversation, continued

E Conversations / turns 11-20

03

Continue with the word bank on page 28.

- 11 **Theo:** That would leave twelve thousand missing from the amount I said I need. I should not describe myself as able to absorb it until we check the alternatives.
- 12 **Nia:** Correct. The ⁶ _____ makes the consequence concrete. It does not prove that decline will happen or determine which investment, if any, is appropriate.
- 13 **Theo:** Does diversification solve that problem? I have heard it described as protection, but I do not want to assume it guarantees the amount at the purchase date.
- 14 **Nia:** ⁷ _____ has limits. It may reduce concentration risks, yet it cannot promise that the full amount will be available regardless of market conditions.
- 15 **Theo:** Then the questionnaire answer should remain in the record, alongside the short deadline and the fact that my other resources have not been verified.
- 16 **Nia:** Yes. The ⁸ _____ needs those dimensions together. We should neither ignore your willingness nor let it override the goal's practical constraints.
- 17 **Theo:** How would the agreed approach be recorded after we complete the review? I would like the purpose and boundaries clear enough to revisit if my plans change.
- 18 **Nia:** The ⁹ _____ can document the relevant objectives and guidelines. Its scope and detail should match the service and decisions actually agreed with you.
- 19 **Theo:** For now, I will provide the reserve and asset information and confirm the purchase amount. We have not agreed an allocation or authorized a transaction today.
- 20 **Nia:** Correct. Those ¹⁰ _____ will inform a reviewed recommendation. The next step is to verify the facts and explain the options, not infer a trade from your questionnaire.

ANSWERS / EXPLANATIONS: PAGE 81

1. risk tolerance | 2. goal flexibility | 3. risk capacity | 4. liquidity need | 5. stress scenario | 6. funding gap | 7. Diversification | 8. risk profile | 9. IPS | 10. investment constraints

One household, two timelines

F Say it

A client needs \$8,000 for tuition in six months and has a separate retirement goal twenty years away. Other resources are unverified. No allocation has been recommended.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

flexibility / capacity / allocation / horizons

Adviser: "The goals have different investment ¹ _____."

Client: "The tuition has less timing ² _____."

Adviser: "We must verify other resources before assessing loss ³ _____."

Client: "Do not treat one risk label as an approved ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 81

1. horizons | 2. flexibility | 3. capacity | 4. allocation

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A smooth retirement chart mistaken for a promise

04

A Read the situation

Explain retirement-model assumptions and distinguish projected income from guarantees and withdrawal requirements.

Client Elena sees a retirement chart with a fixed 5% annual return assumption and projected withdrawals of \$3,000 per month. The illustration uses nominal amounts and excludes taxes and fees. It does not model varying annual returns. Adviser Malik must correct Elena's impression that the chart promises that income. Her account types and personal tax circumstances are not yet verified, and no required-minimum-distribution calculation has been completed. No retirement date or withdrawal instruction is approved.

PEOPLE / Elena: Client | Malik: Retirement adviser

CORRECT THE IMPRESSION WITHOUT DISMISSING THE RELIEF

A client may feel reassured by a smooth upward chart. Acknowledge that response, then explain precisely what the line represents and leaves out. Replace a vague disclaimer with the assumptions and missing checks that could change the result.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the 5% figure?

- A A fixed annual model assumption
- C Elena's verified historical return

- B A guaranteed account return
- D A required tax rate

2. What does this illustration exclude?

- A The monthly withdrawal illustration
- C Taxes and fees, with no varying-return sequence modeled

- B The fixed return assumption
- D Every nominal amount

3. What has been approved?

- A A final personalized tax result
- C A guaranteed \$3,000 monthly payment

- B No retirement date or withdrawal instruction
- D A completed RMD amount

Answers and explanations: page 82.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

retirement illustration

A modeled account of possible retirement outcomes under assumptions.

IN USE explain the retirement illustration

deterministic model

A model producing outcomes from a fixed set of inputs.

IN USE identify deterministic-model limits

stochastic model

A model using variable inputs or simulated paths under a defined method.

IN USE explain a stochastic model

Monte Carlo simulation

Repeated modeled trials using specified assumptions about uncertain inputs.

IN USE qualify Monte Carlo results

projection

An estimate of future outcomes based on stated premises.

IN USE distinguish a projection from a promise

nominal amount

An amount expressed in money units without adjusting for inflation.

IN USE label nominal amounts

real return

Return adjusted for inflation under the stated calculation basis.

IN USE distinguish real from nominal return

inflation assumption

A modeled rate of change in prices or purchasing costs.

IN USE review the inflation assumption

purchasing power

The goods or services an amount of money can buy.

IN USE discuss purchasing-power changes

withdrawal rate

Withdrawals relative to a specified account value and period.

IN USE define the withdrawal-rate basis

sequence risk

Risk from the order of returns when cash flows occur.

IN USE illustrate sequence-of-returns risk

longevity risk

Risk of financial resources not lasting through the relevant lifetime.

IN USE assess longevity risk

Precision check

The projected \$3,000 withdrawal is not a guaranteed payment. The model uses fixed 5% returns, nominal amounts, and no taxes or fees. A smooth line can hide variability and purchasing-power changes that matter to the client's interpretation.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

planning horizon

The span over which a plan models needs and resources.

IN USE extend the planning horizon

income floor

Resources intended to cover essential income needs under stated conditions.

IN USE assess the proposed income floor

pension benefit

A payment or entitlement under a pension arrangement's terms.

IN USE verify the pension-benefit estimate

Social Security estimate

A projected US public retirement benefit based on specified records and assumptions.

IN USE review the Social Security estimate

tax-deferred account

An account in which certain taxes are deferred under applicable rules.

IN USE identify tax-deferred accounts

Roth account

A US account type with specific contribution and distribution tax rules.

IN USE verify the Roth account type

RMD

Required minimum distribution under applicable retirement-account rules.

IN USE verify the RMD requirement

distribution

Money or assets paid out from an account or arrangement.

IN USE document the distribution request

withholding

An amount retained from a payment toward a tax obligation.

IN USE clarify tax withholding

tax basis

The tax-recognized amount relevant to determining taxable treatment.

IN USE verify the tax basis

marginal tax rate

The rate applying to an additional amount of taxable income under the relevant system.

IN USE distinguish the marginal tax rate

survivor benefit

A benefit potentially payable after another person's death under specified terms.

IN USE review survivor-benefit conditions

Precision check

A required minimum distribution is a rule-based withdrawal requirement, not a recommended spending amount or evidence that a withdrawal is sustainable. Account type, ownership, beneficiary status, age-related rules, and other facts can affect the analysis. Verify current rules and qualified tax advice for actual decisions.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE THE REACTION

"I understand why the chart looked reassuring."

NAME THE ASSUMPTION

"It assumes a fixed 5% annual return rather than varying yearly results."

CLARIFY PURCHASING POWER

"The \$3,000 is a nominal amount, not a guarantee of constant purchasing power."

SEPARATE TAX QUESTIONS

"We need the account details before discussing the applicable distribution rules."

CORRECT THE MEANING

"The line shows a modeled outcome, not promised income."

IDENTIFY EXCLUSIONS

"This version excludes taxes and fees."

EXPLAIN SEQUENCE

"The order of returns can matter when withdrawals occur."

CLOSE WITH REVISION

"We will review the assumptions before using the chart to support a retirement decision."

Assumes versus earns

The model assumes 5%; the account has not thereby earned or been promised 5%.

Nominal versus real

Nominal amounts omit an inflation adjustment; real measures account for purchasing-power effects under the stated method.

Could support

This phrase indicates conditional modeled support, not a guaranteed entitlement to a payment.

Phrases you can actually use

C Notice the language / 2 of 2

AVOID A DATE PROMISE

"The illustration does not approve a retirement date."

DISTINGUISH A REQUIREMENT

"A required distribution is not automatically the amount you should spend."

LIMIT WITHHOLDING

"Withholding is not necessarily the final tax liability."

CLARIFY BENEFITS

"Is that pension amount an estimate or a confirmed benefit under its terms?"

DEFINE A SIMULATION

"A simulation explores modeled paths; its percentages depend on its assumptions."

PRESERVE A MISSING FACT

"Your account types and tax circumstances remain unverified."

CHECK THE PERIOD

"What lifetime and spending horizon does this illustration cover?"

CONFIRM UNDERSTANDING

"The next step is to improve the model, not to execute a withdrawal."

Required versus recommended

Required describes a rule; recommended describes advice based on circumstances. They are not interchangeable.

Probability language

A simulation percentage is conditional on the model, not a certainty about a person's life.

Not yet calculated

Identify unfinished tax or distribution work explicitly instead of substituting a generic rate or age rule.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which sentence accurately describes the chart?

- A** It proves the client can retire immediately.
- B** It supplies a completed personal tax calculation.
- C** It projects withdrawals using a fixed return assumption and omits taxes and fees.
- D** It guarantees \$3,000 of real monthly income.

2. Which question tests purchasing-power interpretation?

- A** Is every future dollar identical in purchasing power?
- B** Are the amounts nominal, and how is inflation reflected?
- C** Can we ignore all price changes?
- D** Does a smooth line mean prices never rise?

3. Which distinction is correct?

- A** A required distribution is not automatically a sustainable spending recommendation.
- B** Every RMD is a guarantee of lifetime income.
- C** Withdrawal rules are identical for all account types.
- D** An unverified tax rate can replace account review.

4. What does sequence risk concern?

- A** The date a chart was printed
- B** The order of investment returns when withdrawals or other cash flows occur
- C** The alphabetical order of account names
- D** A guaranteed loss every January

Answers and explanations: [page 82](#).

A smooth retirement chart mistaken for a promise

04

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

nominal amounts / projection / Monte Carlo simulation / sequence risk / account type / return assumption / planning horizon / assumptions / RMD / fees

- 01 **Elena:** The chart made me feel relieved. If it shows three thousand dollars every month, does that mean I can rely on receiving that amount once I retire?
- 02 **Malik:** I understand the relief, but it is a ¹ _____, not promised income. We need to examine the assumptions and exclusions before using it to support a decision.
- 03 **Elena:** The line looks smooth from one year to the next. I assumed that meant the account was designed to produce the same return every year.
- 04 **Malik:** The model uses a fixed ² _____ of five percent. Actual yearly results can vary, and this particular illustration does not model those different sequences.
- 05 **Elena:** So the line is smooth because of the calculation, not because the investments avoid fluctuations. What else is missing from the number I would actually be able to spend?
- 06 **Malik:** This version excludes taxes and ³ _____. Those omissions matter. We should not describe the displayed amount as your verified after-cost, after-tax monthly spending capacity.
- 07 **Elena:** I also expect prices to change during retirement. Does three thousand later buy the same amount as three thousand today in this chart?
- 08 **Malik:** It shows ⁴ _____. That is not a promise of constant purchasing power. We need to state how inflation and changing spending needs are reflected.
- 09 **Elena:** Even with a similar average return, could the order of good and bad years change the result while I withdraw money?
- 10 **Malik:** Yes. That is ⁵ _____. Withdrawals interact with the timing of returns, so a constant-rate line does not capture every consequence of a less favorable early period.

The conversation, continued

E Conversations / turns 11-20

04

Continue with the word bank on page 37.

- 11 **Elena:** Would a simulation solve the uncertainty? I have seen reports saying a plan has a certain percentage chance of success, and those sound more scientific.
- 12 **Malik:** A ⁶ _____ explores modeled paths under specified assumptions. Its percentage is conditional on the method and inputs, not a guarantee that your future will follow them.
- 13 **Elena:** I should ask what success means and how long the model runs. A shorter period might make the result look easier.
- 14 **Malik:** Exactly. Check the ⁷ _____, spending definition, and other assumptions. The model should serve the actual planning question rather than create reassurance through an unexplained endpoint.
- 15 **Elena:** A friend mentioned a required minimum distribution. Is that the amount I ought to spend each year, or a different question from the income illustration?
- 16 **Malik:** An ⁸ _____ concerns applicable account rules, not automatically your recommended spending. We need your account details and current-rule review before determining any requirement for you.
- 17 **Elena:** I have different retirement accounts, and I have not provided their records yet. I should not assume the same tax treatment or withdrawal rule applies to all of them.
- 18 **Malik:** Correct. We must verify each ⁹ _____ and relevant circumstances. Any tax withholding also needs explanation; it is not necessarily equal to the final tax liability.
- 19 **Elena:** My next step is to provide those records and review a clearer illustration. I am not authorizing withdrawals or treating this chart as approval to leave work.
- 20 **Malik:** That is the right distinction. We will revise the ¹⁰ _____ and identify the remaining checks. The conversation should leave you informed about the conditions, not dependent on a promise the chart cannot make.

ANSWERS / EXPLANATIONS: PAGE 83

1. projection | 2. return assumption | 3. fees | 4. nominal amounts | 5. sequence risk | 6. Monte Carlo simulation | 7. planning horizon | 8. RMD | 9. account type | 10. assumptions

Withholding is not the final tax bill

F Say it

A client sees \$1,000 withheld from a fictional distribution and asks whether that settles the final tax amount. The full tax circumstances have not been reviewed. The adviser is not giving a completed tax calculation.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

review / liability / withholding / figures

Adviser: "The \$1,000 is ¹ _____ from the payment."

Client: "It does not automatically equal my final tax ² _____."

Adviser: "That question requires your full circumstances and qualified ³ _____."

Client: "Please keep the distribution and tax-estimate ⁴ _____ separate."

ANSWERS / EXPLANATIONS: PAGE 83

1. withholding | 2. liability | 3. review | 4. figures

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A lower account balance is not all market loss

A Read the situation

05

Acknowledge concern, reconcile an account-value change, and separate explanation from a trading recommendation.

Client Victor sees his account fall from \$100,000 to \$85,000 during the statement period. The supplied statement bridge lists a \$10,000 withdrawal, \$1,000 in fees, and a \$4,000 negative investment change. No contributions are listed. Adviser June has verified that these amounts reconcile, but has not reviewed the performance-return method, cash-flow dates, or whether the current allocation differs from the agreed policy. Victor asks whether everything should be sold. No transaction instruction has been confirmed.

PEOPLE / Victor: Client | June: Adviser

ACKNOWLEDGE THE CONCERN BEFORE CORRECTING THE ARITHMETIC

A technically correct answer can sound dismissive when a client is worried. Name the concern, separate the components clearly, and avoid predicting a recovery. Do not treat a distressed question as a completed instruction or tell the client that emotion makes the question illegitimate.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which amounts explain the \$15,000 decline in account value?

A A guaranteed \$15,000 future recovery

B \$10,000 withdrawal, \$1,000 fees, and \$4,000 negative investment change

C \$15,000 of market loss only

D \$10,000 of fees and \$5,000 contribution

2. What is not yet verified?

A The withdrawal amount

B Whether the listed amounts reconcile

C The performance-return method and allocation-policy comparison

D The beginning balance

3. What does Victor's question currently establish?

A A signed revised investment policy

B A guaranteed market recovery plan

C A concern and a request for discussion, not a confirmed transaction instruction

D A completed sale of every asset

Answers and explanations: page 84.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

account value

The stated monetary value of holdings and cash at a specified time.

IN USE reconcile the change in account value

opening balance

The value at the start of the reporting interval.

IN USE verify the opening balance

closing balance

The value at the end of the reporting interval.

IN USE confirm the closing balance

contribution

Money or assets added to an account.

IN USE identify external contributions

withdrawal

Money or assets removed from an account.

IN USE separate withdrawals from investment results

net cash flow

Contributions less withdrawals on a defined basis.

IN USE reconcile net cash flows

investment change

A stated change attributable to investment results under the report's method.

IN USE verify the investment-change component

performance return

An investment-result measure calculated using a stated methodology.

IN USE confirm the performance-return method

statement reconciliation

Explanation linking statement totals and component movements.

IN USE complete the statement reconciliation

fee deduction

A charge removed from the account or its value.

IN USE identify fee deductions

market movement

Changes in market prices or valuations over a period.

IN USE separate market movement from withdrawals

unrealized loss

A decline in value of a position not yet disposed of on the stated basis.

IN USE distinguish unrealized from realized loss

Precision check

The account-value decline is \$15,000, but the supplied bridge attributes \$10,000 to a withdrawal, \$1,000 to fees, and \$4,000 to investment change. The withdrawal is not a market loss. The investment change still matters and should not be minimized.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

realized loss

A loss recognized on disposal under the stated reporting basis.

IN USE explain a realized loss

cost basis

The recorded acquisition or tax basis used for a specified purpose.

IN USE verify the cost basis

allocation drift

Movement away from an intended portfolio distribution.

IN USE assess allocation drift

rebalancing

Adjusting exposures toward a specified target or policy.

IN USE review a rebalancing proposal

threshold

A defined level that prompts review or action.

IN USE check the rebalancing threshold

turnover

The extent of trading or replacement of holdings over a period.

IN USE assess portfolio turnover

transaction cost

A cost associated with buying, selling, or transferring an investment.

IN USE estimate transaction costs

tax consequence

A tax effect dependent on the transaction and applicable circumstances.

IN USE assess possible tax consequences

loss aversion

A tendency to experience losses more strongly than comparable gains.

IN USE discuss loss aversion without labeling the client

recency bias

A tendency to overweight recent experience when judging the future.

IN USE recognize possible recency bias

behavioral coaching

Support for understanding decisions and reactions without removing client agency.

IN USE provide respectful behavioral coaching

review cadence

The agreed frequency or triggers for reassessing a plan or account.

IN USE confirm the review cadence

Precision check

A dollar change is not automatically a properly calculated return percentage. Cash-flow timing and the reporting method matter. Rebalancing is a policy-based allocation action, not simply another name for selling after a decline. Costs, taxes, client facts, and authority require review.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE CONCERN

"I can see why the lower balance concerns you."

STATE THE ARITHMETIC

"Those three amounts reconcile the account from \$100,000 to \$85,000."

LIMIT THE PERCENTAGE

"I need the cash-flow timing and method before quoting a performance rate."

CLARIFY THE REQUEST

"Are you asking to discuss selling, or giving an instruction that needs confirmation?"

SEPARATE THE COMPONENTS

"The decline includes a withdrawal, fees, and investment change."

AVOID DISMISSAL

"The investment decline still deserves explanation."

AVOID A RECOVERY PROMISE

"I cannot promise when or whether a market recovery will occur."

CLOSE WITH A REVIEW

"We will review the allocation and relevant consequences before any recommendation."

Balance versus return

Account value includes flows and charges; performance return uses a defined method to evaluate investment results.

Still matters

This phrase acknowledges a genuine loss while correcting an exaggerated interpretation of the total decline.

Question versus instruction

Clarify intent and follow the authorization process instead of inferring a trade from a worried question.

Phrases you can actually use

C Notice the language / 2 of 2

PRESERVE AGENCY

"Your concern is legitimate, and the decision remains yours within the service process."

CHECK DRIFT

"How far has the current allocation moved from the target?"

NAME A MISSING CHECK

"The dollar bridge is complete; the return calculation remains unchecked."

AVOID A LABEL

"Let us examine the concern rather than describe you as an irrational investor."

DISTINGUISH REBALANCING

"Rebalancing should be tied to the agreed allocation policy."

KEEP COSTS VISIBLE

"Any proposed trades need review of costs and tax consequences."

SUMMARIZE THE CHANGE

"Not all of the lower balance represents investment loss."

CONFIRM FOLLOW-THROUGH

"The next review will separate performance, cash flows, and the allocation question."

May versus will recover

May identifies uncertainty; will recover promises an outcome that the case does not establish.

Policy-based verbs

Review, compare, propose, approve, and execute are separate stages of a rebalancing process.

Nonjudgmental wording

Describe the concern and evidence without diagnosing the client's behavior from one conversation.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which response combines empathy and accurate explanation?

- A** Nothing important happened because some money was withdrawn.
- B** Your concern proves you cannot make decisions.
- C** The lower balance is concerning; let us separate the withdrawal, fees, and investment change.
- D** You lost \$15,000 in the market and should panic.

2. Which calculation matches the supplied bridge?

- A** \$100,000 minus \$15,000 in market losses equals the verified return.
- B** \$85,000 plus \$10,000 equals the full opening value.
- C** The withdrawal cancels every fee.
- D** \$100,000 minus \$10,000 minus \$1,000 minus \$4,000 equals \$85,000.

3. What remains necessary before quoting a performance percentage?

- A** Assume every statement uses the same return method.
- B** Verify the cash-flow timing and calculation method.
- C** Divide any decline by any convenient balance.
- D** Treat the withdrawal as market loss.

4. Which next step respects the unconfirmed instruction?

- A** Sell every holding immediately from the question alone.
- B** Promise a recovery to avoid further discussion.
- C** Ignore the concern until the next annual meeting.
- D** Clarify Victor's intent and complete the required review and authorization.

Answers and explanations: [page 84](#).

A lower account balance is not all market loss

E Conversations / turns 1-10

05

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

transaction instruction / withdrawal / closing balance / transaction costs / performance-return method / Rebalancing / reconciliation / allocation drift / review steps / Market movement

- 01 **Victor:** The account fell from one hundred thousand to eighty-five thousand. Did the investments lose fifteen thousand, and should we sell everything?
- 02 **June:** I understand why the ¹ _____ worries you. The statement separates a withdrawal, fees, and investment change, so let us reconcile those before discussing an action.
- 03 **Victor:** I remember taking ten thousand out, but I still feel the overall decline is serious. I do not want the withdrawal used to dismiss the investment result.
- 04 **June:** It should not dismiss it. The ² _____ explains ten thousand of the value change, while fees account for one thousand and the negative investment change is four thousand.
- 05 **Victor:** Those amounts add to fifteen thousand. So the balance is lower for three reasons, and only one of those lines is the investment-change amount in this report.
- 06 **June:** Correct. That ³ _____ is verified. It explains the dollar movement from one hundred thousand to eighty-five thousand without treating the full decline as market performance.
- 07 **Victor:** Can we call the investment result minus four percent, since four thousand is four percent of the starting value? That seems like a simple explanation.
- 08 **June:** Not without checking the ⁴ _____ and cash-flow dates. The arithmetic shortcut may not match the appropriate return measure when money leaves during the reporting period.
- 09 **Victor:** Fine, but can you at least tell me that the market will recover before I need the rest of the money? I would feel better with a clear date.
- 10 **June:** I cannot promise that. ⁵ _____ does not give us a reliable recovery date. We can review your timing needs and exposure without offering reassurance based on an unsupported forecast.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 46.

- 11 **Victor:** I am asking about selling because I want to understand the choices. I have not decided to sell every position, and I do not want that assumed.
- 12 **June:** Thank you for clarifying. No ⁶ _____ is confirmed here. We will distinguish this discussion from any later authorized action and make the next steps clear.
- 13 **Victor:** Would a portfolio rebalance be different from selling because the statement frightened me? I want to know what question that review is supposed to answer.
- 14 **June:** ⁷ _____ relates to the agreed allocation policy. First we would compare current exposures with that policy and determine whether a change is indicated.
- 15 **Victor:** Have you checked how far the holdings moved from their targets? I would prefer that comparison to an assumption from the total value.
- 16 **June:** The ⁸ _____ review is still pending. A lower account value does not by itself tell us which exposures differ from the target or what action follows.
- 17 **Victor:** Any proposed trade could also have costs or taxes. I would want those explained before deciding, especially if several different approaches might address the same concern.
- 18 **June:** Yes. We should assess ⁹ _____ and relevant tax consequences, along with your circumstances. The comparison should explain the tradeoffs rather than present activity itself as a solution.
- 19 **Victor:** Then please confirm the performance method, review the allocation, and show the relevant options. I want the concern addressed without a promise or an automatic sale.
- 20 **June:** I will record that request and the next ¹⁰ _____. The withdrawal explains part of the decline; the investment result and your decision still deserve careful attention.

ANSWERS / EXPLANATIONS: PAGE 85

1. closing balance | 2. withdrawal | 3. reconciliation | 4. performance-return method | 5. Market movement | 6. transaction instruction | 7. Rebalancing | 8. allocation drift | 9. transaction costs | 10. review steps

A deposit masks a negative investment result

F Say it

An account opens at \$50,000 and receives a \$10,000 contribution. The statement shows a \$2,000 negative investment change and no other movements, giving a \$58,000 closing value.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

return / balance / contribution / decline

Adviser: "The higher balance includes a \$10,000 ¹ _____."

Client: "The investment component is still a \$2,000 ² _____."

Adviser: "The three amounts reconcile to the \$58,000 closing ³ _____."

Client: "A larger account value does not by itself prove a positive ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 85

1. contribution | 2. decline | 3. balance | 4. return

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Comparing accounts without the missing cost columns

A Read the situation

Compare options on consistent criteria and explain product and transfer limitations without recommending prematurely.

06

Client Hana compares two fictional account services. Option A has a \$120 annual account fee and on-request support; Option B has a \$240 annual account fee and scheduled quarterly reviews. The short summary omits exit charges and product-level expenses. A full schedule, now available to adviser Louis, lists a \$75 transfer-out charge for A and no transfer-out charge for B. Product expenses, the existing account type, and any tax effects still need review. Neither option is recommended or approved.

PEOPLE / Hana: Client | Louis: Adviser

COMPARE THE WHOLE SERVICE, NOT ONE ATTRACTIVE NUMBER

A cheaper headline fee and a more frequent review service answer different questions. Put relevant costs, access conditions, service differences, and client needs on the same comparison. An incomplete summary is a reason to obtain the terms, not to invent missing values.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which service difference is stated?

A A guarantees higher returns

B B includes unlimited legal advice

C A offers on-request support; B offers quarterly reviews

D Both promise identical monitoring

2. What transfer-out charges does the full schedule show?

A Both: \$240

B Neither charge is available

C A: \$75; B: none

D A: none; B: \$75

3. What remains unreviewed?

A The supplied transfer-out charges

B Product expenses, existing account type, and tax effects

C The annual account fees

D The stated support arrangements

Answers and explanations: page 86.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

account wrapper

The legal or tax account structure holding investments, depending on context.

IN USE distinguish the account wrapper from the investment

taxable account

An account whose investment income or gains may be currently taxable under relevant rules.

IN USE identify a taxable account

IRA

Individual retirement arrangement, a US retirement-account category with specific rules.

IN USE verify the IRA type

employer-sponsored plan

A retirement arrangement offered through an employer under its governing terms.

IN USE review employer-plan features

rollover

A movement of eligible retirement assets subject to applicable rules and conditions.

IN USE evaluate a proposed rollover

direct transfer

Movement between providers or accounts through a specified direct process.

IN USE confirm the direct-transfer procedure

in-kind transfer

Movement of holdings without selling them in the transfer process, where supported.

IN USE check in-kind transfer eligibility

liquidation

Sale or conversion of holdings into cash.

IN USE explain liquidation consequences

transfer-out charge

A fee charged for moving an account or assets away from a provider.

IN USE identify the transfer-out charge

exit charge

A cost triggered by leaving a product or arrangement under its terms.

IN USE disclose an applicable exit charge

surrender charge

A product charge for specified early withdrawals or termination.

IN USE review the surrender-charge schedule

liquidity restriction

A condition limiting access to invested funds.

IN USE explain liquidity restrictions

Precision check

Option A has a lower annual account fee, but the comparison also needs its \$75 transfer-out charge and on-request service. Option B has a higher annual fee and quarterly reviews. No conclusion about overall suitability follows from one fee alone.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

lockup

A period during which withdrawal or transfer is restricted under the terms.

IN USE confirm the lockup period

redemption window

A specified period or opportunity for requesting withdrawal from a product.

IN USE identify the redemption window

annuity

An insurance contract with specified accumulation or payment features.

IN USE review the annuity contract

fixed annuity

An annuity with contract-defined fixed features, subject to its terms and issuer obligations.

IN USE explain fixed-annuity conditions

variable annuity

An annuity whose value or benefits depend partly on selected investments and contract terms.

IN USE explain variable-annuity risks

indexed annuity

An annuity with certain credited returns linked to an index formula under contract terms.

IN USE examine the indexed-annuity formula

rider

An optional contract feature with specific terms and possible additional cost.

IN USE review the rider charge

insurer credit risk

Risk that an insurer cannot meet its contractual obligations.

IN USE explain insurer credit risk

cash value

A policy or contract value accessible under specified terms and adjustments.

IN USE distinguish cash value from a benefit amount

prospectus

A formal document describing a securities offering or product and its material features.

IN USE read the current prospectus

product comparison

A side-by-side assessment using consistent, relevant criteria.

IN USE complete the product comparison

service level

The scope and frequency of support supplied under an agreement.

IN USE compare the service levels

Precision check

An account wrapper and the investments inside it are different. A move may involve transfer, liquidation, rollover rules, access restrictions, costs, or tax effects. An annuity label also does not establish universal guarantees, immediate access, or identical product terms.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE KNOWN FEES

"A charges \$120 annually; B charges \$240 annually."

COMPARE SERVICE

"A offers support on request; B provides quarterly reviews."

SEPARATE THE WRAPPER

"The account type and the investments held inside it need separate review."

CHECK THE MOVE

"Would this involve an in-kind transfer, a sale, or a retirement rollover?"

RESTORE A MISSING COLUMN

"The full schedule lists a \$75 transfer-out charge for A."

PRESERVE THE GAP

"Product expenses are not yet included in this comparison."

AVOID A SHORTCUT

"A lower annual account fee does not by itself settle the choice."

CLOSE WITH THE TERMS

"We will complete the comparison before discussing a recommendation."

06

Lower versus cheaper overall

A lower fee component does not establish the total cost across the expected use period.

Included versus omitted

An omitted charge is unknown in the summary, not necessarily zero.

Transfer versus sale

Moving assets and selling assets are different actions; confirm which process the proposal involves.

Phrases you can actually use

C Notice the language / 2 of 2

CLARIFY ACCESS

"Which restrictions or exit charges apply if you need the funds?"

LIMIT A GUARANTEE

"Any contractual guarantee depends on its terms and the responsible issuer."

CLARIFY THE LABEL

"An index-linked crediting formula is not the same as owning the index."

PRESERVE AN ALTERNATIVE

"Remaining in the existing arrangement also needs a fair comparison where relevant."

CHECK COVERAGE

"Does the quoted fee include the optional feature?"

ASK ABOUT EXCLUSIONS

"Which services are outside the account agreement?"

CHECK TAX REVIEW

"The tax effects depend on the actual account and transaction."

CONFIRM AUTHORITY

"Reviewing the options does not authorize a transfer or sale."

Guarantee qualifiers

Identify who owes what, under which conditions; do not broaden a limited contractual promise.

Like-for-like columns

Compare the same cost types, periods, service expectations, and access conditions.

Account versus product

An account holds investments; its tax structure is not itself a description of the holdings' risk.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which comparison includes the supplied material differences?

- A** A: \$120 annual fee, \$75 transfer-out, on-request support; B: \$240 annual fee, no transfer-out charge, quarterly reviews.
- B** A has no costs because its annual fee is lower.
- C** Both accounts have identical service and exit terms.
- D** B guarantees better returns because it costs more.

2. What should an omitted product-expense figure be labeled?

- A** Included in every account fee automatically
- B** Irrelevant to any comparison
- C** Not yet reviewed, rather than assumed zero
- D** Zero by definition

3. Which question clarifies a proposed move?

- A** Will assets transfer in kind or be sold, and what rules and costs apply?
- B** Can every move be called tax-free?
- C** Does changing the provider erase all exit charges?
- D** Is every retirement movement identical?

4. Which statement properly limits a product guarantee?

- A** Its scope and conditions depend on the contract and responsible issuer.
- B** Every annuity permits immediate free withdrawal.
- C** A guarantee removes every kind of risk.
- D** An optional rider has no cost because it is optional.

Answers and explanations: page 86.

Comparing accounts without the missing cost columns

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

06

WORD + PHRASE BANK

Liquidation / rider / service level / Product expenses / account wrapper / rollover / product comparison / in-kind transfer / transfer-out charge / surrender charge

- 01 **Hana:** Option A has the lower annual fee. The summary makes it look like the obvious choice, but I cannot find anything about leaving the account later.
- 02 **Louis:** The full schedule lists a seventy-five-dollar ¹ _____ for A and none for B. We should restore that missing information.
- 03 **Hana:** A is one hundred twenty dollars a year and B is two hundred forty. Does the higher charge buy a different service, or are they otherwise the same?
- 04 **Louis:** The ² _____ differs: A offers on-request support and B schedules quarterly reviews. Whether that matters depends on your needs, not just the fee.
- 05 **Hana:** Then I should not call A cheapest overall from the annual fee alone. What other amounts have not yet been included in the comparison?
- 06 **Louis:** ³ _____ remain unreviewed. The account fee is only one layer, so mark that gap rather than insert zero to make the table look complete.
- 07 **Hana:** My existing account is a retirement account, but I have not supplied the exact type. Could moving it differ from moving an ordinary taxable account?
- 08 **Louis:** Yes. Verify the ⁴ _____ and transaction first. We should not describe tax effects before identifying the actual accounts and applicable rules.
- 09 **Hana:** I also want to know whether the investments move as they are or must be sold. A transfer sounds simple, but those are different actions.
- 10 **Louis:** An ⁵ _____ may preserve eligible holdings; another route may require sales. Confirm the supported process rather than assuming every holding can move unchanged.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 55.

- 11 **Hana:** If selling is required, the comparison should include possible consequences instead of presenting the move as only a change of provider name on a statement.
- 12 **Louis:** Correct. ⁶ _____ can involve costs and tax effects. Those need appropriate review before we explain what the move would mean for you.
- 13 **Hana:** Another brochure calls an annuity guaranteed. Does that mean I could withdraw the whole amount whenever I want, or is access a separate question?
- 14 **Louis:** Read access terms separately. A ⁷ _____ or other condition may apply. The contract must identify what is promised, by whom, and under which circumstances.
- 15 **Hana:** It mentions an optional income feature. Should I assume that is included in the base charge because it appears on the same page?
- 16 **Louis:** No. A ⁸ _____ may have an additional cost and different conditions. Inclusion needs verification, not an inference from the brochure's layout.
- 17 **Hana:** I am not asking you to choose now. I want the account comparison completed and the separate product questions identified clearly before discussing a recommendation.
- 18 **Louis:** That is a useful ⁹ _____ request. We can organize costs, services, access, and risks while marking questions requiring more information or specialist review.
- 19 **Hana:** Please include the relevant features of my existing arrangement too. I do not want the comparison to assume moving is necessary before we understand the differences.
- 20 **Louis:** Agreed. Review alternatives without presuming a ¹⁰ _____ or other move is appropriate. No transfer or sale is authorized by today's discussion of the documents.

06

ANSWERS / EXPLANATIONS: PAGE 87

1. transfer-out charge | 2. service level | 3. Product expenses | 4. account wrapper | 5. in-kind transfer | 6. Liquidation | 7. surrender charge | 8. rider | 9. product comparison | 10. rollover

A free exit does not mean no costs

F Say it

A product has no stated exit charge, but ongoing expenses and possible transaction costs remain unreviewed. A client asks whether "no exit charge" means the product is cost-free.

Complete the four gaps. Use each bank entry once.

06

WORD + PHRASE BANK

conclusion / verification / category / expenses

Adviser: "No exit charge describes one cost ¹ _____."

Client: "We still need the ongoing ² _____."

Adviser: "Possible transaction costs also require ³ _____."

Client: "Then cost-free would be an unsupported ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 87

1. category | 2. expenses | 3. verification | 4. conclusion

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Reviewing beneficiaries after a family loss

A Read the situation

Explain an account-update process compassionately while distinguishing beneficiary status, trusted contact, and legal authority.

After her spouse dies, client Carla asks service colleague Devin how to review beneficiary details. Her daughter is listed as a trusted contact but has no verified transaction authority. Carla wants to remain the decision-maker and asks whether naming her daughter as trusted contact already made her a beneficiary. Devin can explain the firm's identity-verified review and update process. Account documents and legal questions have not been reviewed by the assigned specialists. No beneficiary change has been submitted or confirmed.

PEOPLE / Carla: Client | Devin: Client-service colleague

07

RESPECT GRIEF AND PRESERVE THE CLIENT'S VOICE

A bereaved client may need a slower pace and a clear sequence. Address the client directly, ask before involving family, and do not infer incapacity from age, grief, or a companion's presence. Practical help should preserve privacy and the distinction between administrative support and legal advice.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What role does the daughter currently have in the stated record?

A Trusted contact, without verified transaction authority

B Confirmed account owner

C Automatically the primary beneficiary

D Authorized decision-maker for every account

2. What does Carla want preserved?

A A change submitted without her confirmation

B Her role as decision-maker

C An automatic transfer to her daughter

D A completed legal opinion from Devin

3. What is the current change status?

A No beneficiary change is submitted or confirmed

B The daughter has already inherited

C Every account record has been updated

D A specialist has approved all legal effects

[Answers and explanations: page 88.](#)

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

beneficiary

A person or entity designated to receive a benefit under relevant terms.

IN USE review the named beneficiary

beneficiary designation

A recorded instruction naming benefit recipients under an account or contract.

IN USE verify the beneficiary designation

primary beneficiary

A first-priority designated recipient under the relevant terms.

IN USE confirm the primary beneficiary

contingent beneficiary

A designated recipient if specified conditions affecting primary recipients apply.

IN USE review contingent-beneficiary details

account owner

The person or entity holding ownership rights under the account arrangement.

IN USE verify the account owner

joint ownership

Ownership shared under a specified legal form.

IN USE clarify the joint-ownership form

estate

A person's property and obligations in the relevant legal context, often after death.

IN USE refer estate questions to qualified counsel

will

A legal document directing specified matters after death under applicable law.

IN USE review the will with legal counsel

trust

A legal arrangement in which property is held and administered under defined duties and terms.

IN USE identify the trust arrangement

trustee

A person or entity administering trust property under the governing duties.

IN USE verify the trustee's authority

executor

A person authorized to administer an estate under applicable law and process.

IN USE verify executor documentation

power of attorney

An instrument granting specified authority to another person under applicable law.

IN USE review the power-of-attorney scope

Precision check

A trusted-contact designation does not itself make someone a beneficiary or authorize account decisions. Beneficiary, owner, representative, and trusted contact are different roles. Verify the current record and the specific authority rather than relying on a family relationship.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

authorized representative

A person with verified permission or legal authority for a defined role.

IN USE confirm the authorized representative

trusted contact

A person the firm may contact in limited circumstances, not automatically authorized to transact.

IN USE update trusted-contact information

consent

Permission for a specified action or information use, within applicable requirements.

IN USE obtain appropriate client consent

identity verification

Confirmation of a person's identity through the approved process.

IN USE complete identity verification

privacy preference

A stated choice about communication or information sharing within applicable limits.

IN USE record privacy preferences

capacity concern

A specific concern about decision-making ability requiring appropriate assessment.

IN USE escalate a capacity concern respectfully

undue influence

Improper pressure affecting another person's decision under the relevant legal context.

IN USE report a concern about undue influence

financial exploitation

Improper use of another person's money or resources under applicable definitions.

IN USE escalate suspected financial exploitation

safeguarding

Measures intended to protect a person from harm while respecting rights.

IN USE follow the safeguarding process

bereavement

The experience or period following the death of someone close.

IN USE offer sensitive bereavement support

case note

A factual record of an interaction and relevant actions.

IN USE make an accurate case note

effective change

A change that has taken effect under the applicable process and terms.

IN USE confirm an effective change

Precision check

A request to review details is not a completed change. Legal effects involving death, divorce, estate documents, ownership, or beneficiary designations depend on the account and applicable law. Explain the service process and route legal questions to qualified review without predicting the result.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE THE LOSS

"I am sorry for your loss; we can take this one step at a time."

CLARIFY THE CONTACT

"Being your trusted contact does not itself authorize your daughter to transact."

START THE PROCESS

"We can verify your identity and review the current account records."

LIMIT THE ROLE

"I can explain the update process, but legal effects need qualified review."

PRESERVE THE CLIENT ROLE

"I will address the review and decisions with you."

SEPARATE DESIGNATIONS

"Trusted contact and beneficiary are different account roles."

AVOID A STATUS CLAIM

"No beneficiary change has been submitted or confirmed yet."

CLOSE WITH CONFIRMATION

"We will distinguish the request, submission, and confirmed update."

Listed as

Name the role: listed as a trusted contact is not listed as an owner or beneficiary.

Request versus effect

Requested, submitted, accepted, and effective describe different stages that need separate confirmation.

May contact versus may transact

Permission for limited contact does not create authority to move money or decide investments.

Phrases you can actually use

C Notice the language / 2 of 2

ASK ABOUT INVOLVEMENT

"Would you like your daughter involved, and what may we discuss with her?"

VERIFY AUTHORITY

"A family relationship alone does not establish account authority."

AVOID A LEGAL SHORTCUT

"We should not assume the will changes every beneficiary designation."

RESPECT PACING

"We can review the next step without rushing a decision."

PRESERVE PRIVACY

"We need the appropriate permission before sharing account information."

CHECK THE RECORD

"Let us confirm what each account currently lists."

STATE A CONCERN NEUTRALLY

"I will record the specific observation and follow the safeguarding process."

CONFIRM CONTROL

"This conversation does not transfer control of your account."

Respectful concern

State observed behavior or pressure without diagnosing incapacity from age or grief.

Consent scope

Permission for one conversation does not automatically authorize all future disclosure or transactions.

Legal boundaries

"Needs legal review" identifies the right next assessment rather than offering a guessed estate-law conclusion.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which explanation accurately separates the daughter's roles?

- A** A trusted contact can sign every instruction without verification.
- B** Trusted-contact status does not itself make her a beneficiary or transaction agent.
- C** Trusted contacts automatically inherit every account.
- D** Family membership gives unrestricted account access.

2. Which response respects Carla's agency?

- A** Ignore Carla's stated wish to decide.
- B** Address Carla directly and ask how she wants family involved.
- C** Treat the daughter as decision-maker because Carla is grieving.
- D** Require every choice to be made by a relative.

3. Which status update is supported?

- A** Every beneficiary has already changed.
- B** The daughter now owns the assets.
- C** The legal effects are fully approved.
- D** The review is requested; no change is submitted or confirmed.

4. Which issue should Devin route for qualified review?

- A** How to check a submission's administrative status
- B** How the account designation interacts with estate documents and applicable law
- C** Where to find the approved update form
- D** Whether identity verification is required by the process

Answers and explanations: [page 88](#).

Reviewing beneficiaries after a family loss

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

case note / beneficiary designation / authority / capacity concern / trusted contact / privacy preferences / safeguarding / identity verification / legal review / power of attorney

07

- 01 **Carla:** Since my spouse died, I have been trying to review the paperwork. My daughter is a trusted contact; does that mean she is already the beneficiary?
- 02 **Devin:** I am sorry for your loss. A ¹ _____ has a different role. We can check each account's beneficiary record without assuming the contact designation changes it.
- 03 **Carla:** I want her to help me organize things, but I still want to make the decisions. I do not want the account treated as hers.
- 04 **Devin:** You remain the person we address for your decisions. We will verify any ² _____ separately rather than infer it from her family relationship or her presence.
- 05 **Carla:** Where do we begin? There may be more than one account, and I do not know whether each one has the same information on file.
- 06 **Devin:** Begin with the approved ³ _____ process, then review the relevant records. We should confirm what each account lists instead of assuming all designations are identical.
- 07 **Carla:** Once we have the record, I can see whether I want to request an update. Asking today does not itself change the names, correct?
- 08 **Devin:** Correct. Reviewing a ⁴ _____ is different from submitting a change. No update has been submitted or confirmed through this conversation.
- 09 **Carla:** My daughter may join the next call. I would like her help, but there are some financial details I prefer to discuss privately with you.
- 10 **Devin:** We can record your ⁵ _____ and obtain the appropriate permissions. We will clarify what may be shared rather than assume joining one call grants unrestricted access.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 64.

- 11 **Carla:** I also have a will. Can you tell me whether that automatically replaces whatever is currently written in the account's beneficiary section?
- 12 **Devin:** That interaction needs ⁶ _____. I can explain our record-update process, but I should not guess the legal effect of the will or other documents.
- 13 **Carla:** If my daughter were given a power of attorney later, would that be the same thing as being a trusted contact now?
- 14 **Devin:** No. A ⁷ _____ is a separate instrument with defined authority and requirements. Its validity, scope, and treatment would need verification under the applicable process.
- 15 **Carla:** I appreciate that. I may need more time with the forms because there is a lot to manage, but I do not want needing time mistaken for being unable to decide.
- 16 **Devin:** We can work at a reasonable pace. A ⁸ _____ should not be inferred from grief or a slower review. Your questions and preferences should remain central.
- 17 **Carla:** Suppose someone pressures me to make a change I do not want. I would want a way to tell the firm without having to discuss everything in front of them.
- 18 **Devin:** We can explain the firm's ⁹ _____ and reporting routes. A specific concern should be handled through the appropriate process, with information shared only as permitted or required.
- 19 **Carla:** For now, please record that I want to review the current designations and discuss legal questions with the right specialist. I am not requesting a change yet.
- 20 **Devin:** I will make that clear in the ¹⁰ _____. We will distinguish review, any later instruction, submission, and confirmation so you know what has and has not happened.

07

ANSWERS / EXPLANATIONS: PAGE 89

1. trusted contact | 2. authority | 3. identity verification | 4. beneficiary designation | 5. privacy preferences | 6. legal review | 7. power of attorney | 8. capacity concern | 9. safeguarding | 10. case note

A relative asks for the balance

F Say it

A caller says they are the account holder's son and asks for the balance. His identity and authority to receive account information are unverified. No disclosure permission is established.

Complete the four gaps. Use each bank entry once.

07

WORD + PHRASE BANK

balance / checks / authority / process

Colleague: "A family relationship does not establish disclosure

¹ _____."

Caller: "You need to complete the appropriate identity and permission

² _____."

Colleague: "Until then, I cannot share the account ³ _____."

Caller: "Please explain the approved verification ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 89

1. authority | 2. checks | 3. balance | 4. process

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

An acknowledgment that never answered the complaint

A Read the situation

Restate a specific complaint, explain investigation status, and commit only to an authorized next step.

Client Dana complained that two \$300 entries appeared with similar fee descriptions. The firm sent an acknowledgment and ticket number but did not answer why the two entries were posted. Liam, the service lead, has the complaint and statement references but no completed review of the entries. The assigned complaints team will assess the issue. A status update is scheduled for Friday, not a guaranteed final decision. No duplicate-charge finding or refund has been approved.

PEOPLE / Dana: Client | Liam: Service lead

08

AN APOLOGY NEEDS A CONCRETE RESPONSE

A polite acknowledgment can frustrate a client if it replaces the answer they requested. State the specific concern, the current evidence, the responsible team, and the next update. Do not promise a refund or final date merely to end an uncomfortable conversation.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What question remains unanswered?

- A Whether a ticket number was issued
- C Whether Dana ever raised a concern

B Whether the acknowledgment arrived

D Why two similarly described \$300 entries were posted

2. What is scheduled for Friday?

- A A final legal ruling
- C A status update

B Automatic closure regardless of findings

D A guaranteed refund

3. What conclusion has been approved?

- A Neither a duplicate-charge finding nor a refund
- C A finding that Dana is mistaken

B A confirmed duplicate and full refund

D A closed complaint with no remaining issue

Answers and explanations: page 90.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

complaint

An expression of dissatisfaction requiring handling under the applicable process.

IN USE record a client complaint

acknowledgment

Confirmation that a message or concern has been received.

IN USE send an acknowledgment

substantive response

A reply addressing the actual issue rather than only confirming receipt.

IN USE provide a substantive response

complaint owner

The person or team responsible for progressing the complaint.

IN USE identify the complaint owner

case reference

An identifier used to track an issue and related records.

IN USE quote the case reference

investigation status

The current stage of evidence review and assessment.

IN USE explain the investigation status

service failure

A shortcoming in the service provided, where established.

IN USE assess a reported service failure

resolution

An outcome addressing a matter under the applicable process.

IN USE explain the complaint resolution

remedy

An action intended to address an established problem under relevant authority.

IN USE consider an authorized remedy

refund

Repayment of an amount charged or paid under the applicable decision.

IN USE confirm an approved refund

escalation

Referral to a responsible authority for further attention.

IN USE route a complaint escalation

response deadline

A time by which a specified reply is required or planned.

IN USE distinguish update and response deadlines

08

Precision check

An acknowledgment establishes receipt, not investigation completion or resolution. Similar fee labels are a reason to examine the entries, not proof that the second charge is a duplicate. The Friday commitment is a status update, not a guaranteed refund or final decision.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

record retention

Keeping records for the period and purpose required by applicable arrangements.

IN USE follow record-retention requirements

correspondence log

A record of communications and their dates or status.

IN USE update the correspondence log

supervisory review

Oversight assessment by an authorized reviewer.

IN USE obtain supervisory review

approval workflow

A defined process for obtaining required authorization.

IN USE follow the approval workflow

advertisement

A promotional communication under the relevant rules and context.

IN USE review an advertisement before use

testimonial

A statement about experience with a provider under applicable definitions.

IN USE assess a proposed testimonial

endorsement

A statement of support or recommendation under applicable definitions.

IN USE review an endorsement disclosure

hypothetical performance

Results not representing the actual performance experience described for a real portfolio.

IN USE qualify hypothetical performance

cherry-picking

Selecting favorable information while omitting relevant unfavorable context.

IN USE avoid cherry-picking results

substantiation

Evidence supporting a factual or promotional claim.

IN USE retain claim substantiation

misleading omission

Missing information that materially distorts the message in context.

IN USE correct a misleading omission

version control

Management of document versions and their approval status.

IN USE maintain approved-version control

08

Precision check

Complaint handling, records, response requirements, and marketing communications follow applicable law and firm procedures. A useful service message preserves the client's specific concern and actual status. It should neither erase the complaint nor invent a conclusion to make the record look closed.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE THE GAP

"Our earlier message confirmed receipt but did not answer your question."

STATE THE EVIDENCE

"We have the statement references, but the entry review is incomplete."

LIMIT THE COMMITMENT

"Friday is the scheduled status update, not a promised final decision."

PRESERVE THE RECORD

"I will keep your original concern and the correspondence linked to the case."

RESTATE THE CONCERN

"You want to know why two \$300 entries have similar fee descriptions."

NAME THE OWNER

"The assigned complaints team is responsible for the assessment."

AVOID A PREMATURE REMEDY

"No refund decision has been approved yet."

CLOSE WITH SUBSTANCE

"The next update will say what has been checked and what remains open."

08

Received versus resolved

These status words mark different stages; changing one to the other without evidence misstates progress.

Why questions

Answer the specific explanation request rather than replacing it with an unrelated reassurance.

Update versus decision

State whether a date concerns progress reporting or an actual completed determination.

Phrases you can actually use

C Notice the language / 2 of 2

AVOID A FINDING

"Similar descriptions do not yet establish a duplicate charge."

CHECK ACCURACY

"Does this restatement capture the issue you want addressed?"

AVOID FORCED CLOSURE

"An acknowledgment alone is not a reason to mark the complaint resolved."

LIMIT A MARKETING CLAIM

"A favorable comment cannot be published without the required review and permissions."

TAKE RESPONSIBILITY

"I will make sure the unanswered question is explicit in the handoff."

CONFIRM DELIVERY

"Which approved communication route should we use for the update?"

PRESERVE AN ESCALATION

"I will explain the applicable escalation route without implying an outcome."

KEEP THE VERSION

"Use only the currently approved communication, with its qualifications intact."

08

No decision yet

This phrase communicates status without promising either approval or rejection.

Apology precision

Acknowledge the communication shortcoming without inventing a concluded cause for the underlying charge.

Record fidelity

Preserve the client's concern and corrections rather than rewriting the history to match a preferred outcome.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which opening addresses the actual communication failure?

- A** A polite greeting is the same as an investigation.
- B** Our acknowledgment did not explain the two entries; that question remains open.
- C** We sent a ticket number, so the issue is resolved.
- D** Similar labels prove a refund is due.

08

2. Which Friday promise is supported?

- A** We will provide the scheduled status update.
- B** Your refund is guaranteed Friday.
- C** The final finding will certainly be complete Friday.
- D** Every record will be deleted Friday.

3. Which statement matches the evidence on the charges?

- A** The second entry is definitely fraudulent.
- B** Two identical amounts can never be legitimate.
- C** The complaint proves the exact cause.
- D** The similar descriptions need review; a duplicate is not established.

4. Which handoff best preserves the complaint?

- A** Include the original concern, entry references, incomplete checks, owner, and update date.
- B** Replace the concern with "client contacted us."
- C** Remove the second entry from the record.
- D** Mark resolved because an email was sent.

Answers and explanations: page 90.

An acknowledgment that never answered the complaint

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

acknowledgment / escalation / duplicate-charge finding / substantive response / status update / complaint owner / resolution / handoff / refund / correspondence log

08

- 01 **Dana:** Your email gave me a ticket number, but it did not answer my question. Why are there two three-hundred-dollar entries with almost the same fee description?
- 02 **Liam:** You are right that the ¹ _____ did not answer that question. I will make the unresolved issue explicit rather than treating the earlier email as a completed response.
- 03 **Dana:** I need an explanation of the entries, not another message saying the firm values me. Was one charged incorrectly?
- 04 **Liam:** That requires a ² _____. We have the statement references, but the review of the entries is incomplete, so I cannot responsibly give you an unverified explanation.
- 05 **Dana:** The similar labels look like a duplicate to me. Can you confirm that now, or do you still need to inspect the transaction and fee records?
- 06 **Liam:** The ³ _____ is not established yet. We need the underlying records to identify each entry and assess whether either was charged incorrectly.
- 07 **Dana:** Who is responsible? I have spoken to several people, and I do not want the question passed around without an owner.
- 08 **Liam:** The assigned complaints team is the ⁴ _____. I will link your original concern, the statement references, and this conversation so the team receives the specific unresolved question.
- 09 **Dana:** The email mentioned Friday. Does that mean you will tell me the final answer then, or only that someone is still looking at it?
- 10 **Liam:** Friday is the scheduled ⁵ _____, not a guaranteed final decision. It should identify what has been checked, what remains open, and the next authorized step.



The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 73.

- 11 **Dana:** If the review confirms an error, I would expect the firm to explain how it will put things right. Can you promise the refund today?
- 12 **Liam:** No ⁶ _____ has been approved. I can ensure that your requested remedy is recorded, but I should not promise an outcome before the assessment and required approval.
- 13 **Dana:** Please do not remove the earlier messages. They show that I asked this question before and that the response did not address it.
- 14 **Liam:** We will preserve the ⁷ _____ under the applicable record process. Your original concern and the fact that it remains unanswered should stay visible in the file.
- 15 **Dana:** I also want to know how to escalate if the next response is another acknowledgment. I am not withdrawing my complaint by agreeing to wait for Friday.
- 16 **Liam:** I will explain the relevant ⁸ _____ route. Waiting for a scheduled update does not, by itself, mean you consider the matter resolved or waive your concern.
- 17 **Dana:** Let me hear the issue as you will pass it on. I want to be sure the team investigates the two entries rather than only the tone of the service email.
- 18 **Liam:** You seek an explanation and review of two similarly described three-hundred-dollar entries, with any appropriate remedy assessed. That will be in the ⁹ _____, alongside the communication shortcoming.
- 19 **Dana:** That captures it. Please send the update through the approved contact route and make clear what you know by then, even if the final decision is not ready.
- 20 **Liam:** I will record that request. The case stays open pending the proper ¹⁰ _____, and the next message will distinguish verified findings, unfinished work, and any decision actually approved.

ANSWERS / EXPLANATIONS: PAGE 91

1. acknowledgment | 2. substantive response | 3. duplicate-charge finding | 4. complaint owner | 5. status update | 6. refund | 7. correspondence log | 8. escalation | 9. handoff | 10. resolution

A client comment is not an approved advertisement

F Say it

A client sends a favorable private email. A colleague proposes quoting it in a public advertisement. Required permission, disclosure, and supervisory checks have not been completed.

Complete the four gaps. Use each bank entry once.

08

WORD + PHRASE BANK

disclosures / version / use / review

Colleague: "The private comment is not yet approved for public

¹ _____."

Supervisor: "Verify the required permission and any relevant ² _____."

Colleague: "The proposed advertisement still needs supervisory

³ _____."

Supervisor: "Keep the draft separate from the approved ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 91

1. use | 2. disclosures | 3. review | 4. version

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

01 Briefing and language checks

Advisor English: Discovery, Scope, Trust, and Boundaries

A Briefing checks / page 4

1. Which key facts are missing?

B. Retirement date, spending estimate, and current financial summary

The briefing identifies the date, spending, and asset-liability information as missing inputs for the planning discussion.

2. What is the current meeting's purpose?

A. Discovery and explanation of the proposed planning service

The meeting is introductory and no engagement scope or recommendation has been finalized.

3. How should any provisional number be described?

B. As an assumption to check, not a verified client fact

The case requires keeping estimates and missing information distinct from verified circumstances and client authority.

D Language checks / page 9

1. Which response best develops the vague goal?

C. Let us clarify the retirement date, spending basis, and current financial position.

The response seeks the case's missing inputs without inventing facts or promising an outcome.

2. Which question clarifies the spending basis?

D. Is the amount for the household and expressed in today's money?

Household scope and purchasing-power basis materially affect what the spending figure means.

3. Which statement correctly limits an initial illustration?

A. It uses labeled assumptions that still need verification.

A preliminary illustration explores assumptions; it does not establish missing facts or trading authority.

4. Which route fits the sensitive document request?

D. The firm's approved secure channel

The briefing specifies a secure approved route for personal financial information rather than unrestricted disclosure.

01 Conversation answers

Advisor English: Discovery, Scope, Trust, and Boundaries

E Dialogue gaps

Pages 10-11

- 1. target.** Turn 2. A target needs relevant timing and spending context; an unsupported single number would not represent Leah's circumstances.
- 2. time horizon.** Turn 4. The time horizon identifies when resources are needed; Leah has not yet confirmed the timing or future work pattern.
- 3. essential spending.** Turn 6. Essential spending covers costs treated as necessary or committed, helping distinguish them from more adjustable preferences.
- 4. today's money.** Turn 8. Today's money expresses current purchasing power; it is different from an unqualified future nominal spending figure.
- 5. asset summary.** Turn 10. An asset summary brings owned resources together; it supports planning but should not omit debts or be confused with net worth.
- 6. secure channel.** Turn 12. A secure channel is the firm's protected document route; it reduces inappropriate exposure of sensitive client information.
- 7. planning scope.** Turn 14. Planning scope defines the services included; related tax or legal questions are not automatically covered by the proposed engagement.
- 8. planning assumption.** Turn 16. A planning assumption is a provisional input, not a verified fact or promised outcome; labeling it supports meaningful review.
- 9. commitment.** Turn 18. The commitment is a potential household support need; recording its uncertainty prevents it from being silently excluded from planning.
- 10. engagement agreement.** Turn 20. The engagement agreement records the relationship and services; reviewing discovery information does not itself finalize scope or authorize investments.

F Transfer conversation

Page 12

1. currency

Adviser: "First, which currency does the amount use?"

The same number means different monetary amounts in different currencies, so the unit must be identified.

2. household

Client: "I also need to clarify whether it covers the whole household."

Household scope distinguishes one person's spending from the combined needs of several people.

3. tax

Adviser: "Please specify whether the figure is before or after tax."

Tax basis affects how an income requirement relates to spendable money and must not be assumed.

4. input

Client: "Until then, treat it as an incomplete planning input."

The unqualified amount is not sufficient to establish a reliable target or an approved recommendation.

02 Briefing and language checks

Standards of Conduct, Best Interest, Disclosures, and Conflicts

A Briefing checks / page 13

1. What is the annual advisory-fee illustration on the stated constant balance?

C. \$5,000

One percent of \$500,000 is \$5,000 for the full year under the explicitly simplified constant-balance illustration.

2. Which costs are included in the 1% according to the case?

D. The defined advisory fee, not all product and third-party charges

The briefing says product expenses and certain third-party charges are additional, so the fee is not an all-cost figure.

3. What documents should guide Evan's explanation?

C. The current agreement and relationship disclosures

The case supplies current documents, which define this fictional relationship more reliably than assumptions about other arrangements.

D Language checks / page 18

1. Which explanation keeps the fee illustration bounded?

A. One percent of a constant \$500,000 illustrates \$5,000 annually; actual billing follows the agreement.

The correct wording preserves the assumed balance, annual period, and distinction between an example and actual contractual billing.

2. Which response accurately addresses additional costs?

A. Product expenses and certain third-party charges are separate from the advisory fee.

The case explicitly excludes these additional layers from the quoted advisory rate.

3. Which statement avoids overstating disclosure's effect?

B. Disclosures explain relevant conflicts; they do not make the incentives vanish.

Explaining a conflict does not eliminate the underlying incentive or replace other applicable obligations.

4. Which question clarifies the fee base?

D. Which assets and valuation method determine the billable amount?

The contractual billable assets and valuation method determine how the asset-based charge is calculated.

02 Conversation answers

Standards of Conduct, Best Interest, Disclosures, and Conflicts

E Dialogue gaps

Pages 19-20

- 1. asset-based fee.** Turn 2. An asset-based fee uses a defined asset value, not necessarily investment gains; the case does not make payment conditional on positive returns.
- 2. illustration.** Turn 4. The illustration uses a constant balance and full-year period; it explains the rate without pretending to be an actual invoice.
- 3. billing period.** Turn 6. The billing period identifies when charges are calculated or collected; quarterly billing does not make a quoted annual rate a quarterly rate.
- 4. product expenses.** Turn 8. Product expenses are a separate cost layer in this case; the advisory rate does not automatically include costs within investments.
- 5. billable assets.** Turn 10. Billable assets are those included by the agreement's fee method; the headline account value should not be assumed identical.
- 6. conflict of interest.** Turn 12. The asset-related incentive may affect judgment; naming it explains a potential conflict rather than denying its existence.
- 7. disclosure.** Turn 14. Disclosure communicates relevant information; it does not remove incentives or turn receipt into agreement with every recommendation.
- 8. capacity.** Turn 16. Capacity identifies the role in which the professional acts; services, compensation, and duties must be understood in that context.
- 9. relationship summary.** Turn 18. The relationship summary outlines services, fees, conflicts, and related information for covered US retail relationships; detailed terms still matter.
- 10. informed decision.** Turn 20. An informed decision requires understanding relevant terms and incentives, not merely receiving a document or accepting a reassuring fee label.

F Transfer conversation

Page 21

1. specified

Adviser: "The bundle covers the specified services, not every possible cost."

The agreement defines what is bundled; the label alone does not expand coverage.

2. charges

Client: "Please show the fund expenses and custody charges separately."

These are identified excluded cost layers that should remain distinct from the bundle.

3. exclusions

Adviser: "The current disclosure lists those exclusions."

Exclusions describe costs outside the stated bundle, correcting the assumption that every cost is included.

4. guarantee

Client: "Then the bundle is not an all-cost guarantee."

The facts expressly leave additional costs, so a promise that all costs are covered would mislead.

03 Briefing and language checks

Goals, Risk Profile, Asset Allocation, and IPS Language

A Briefing checks / page 22

1. What is the stated near-term need?

B. \$60,000 for a home purchase in twelve months

The briefing specifies the home-purchase amount and twelve-month timing, with limited flexibility.

2. What does the 20% decline represent?

D. A hypothetical stress example, not a forecast

Nia uses a stated hypothetical to clarify consequences, not to predict markets or report an actual result.

3. Which facts still require verification?

C. Reserves, other assets, and funding alternatives

The adviser has not verified the wider financial resources that affect capacity and planning flexibility.

D Language checks / page 27

1. Which statement distinguishes tolerance and capacity?

D. A client may accept fluctuations emotionally but lack funds to absorb a near-term loss.

Willingness and financial ability are different dimensions; the house need may constrain the latter.

2. What is the gap after the stated stress decline?

C. \$12,000

Twenty percent of \$60,000 is \$12,000, leaving \$48,000 against a \$60,000 need.

3. Which description correctly limits the example?

A. A hypothetical consequence used to discuss flexibility

The case expressly uses a stress illustration, not a prediction, observed loss, or trading authorization.

4. Which next step fits the incomplete information?

B. Verify resources and record the goal's constraints before recommending.

The missing household information and goal limits need review before a suitable recommendation can be developed.

03 Conversation answers

Goals, Risk Profile, Asset Allocation, and IPS Language

03

E Dialogue gaps

Pages 28-29

1. risk tolerance. Turn 2. Risk tolerance describes willingness to accept uncertainty; acknowledging it does not settle the separate consequences for a near-term goal.

2. goal flexibility. Turn 4. Goal flexibility concerns changing timing, amount, or priority; limited flexibility affects how a loss would interfere with the purchase.

3. risk capacity. Turn 6. Risk capacity concerns the financial ability to withstand a loss without undermining needs, distinct from emotional comfort with fluctuations.

4. liquidity need. Turn 8. A liquidity need identifies when funds must be accessible; emergency reserves and a home payment should not silently be treated as interchangeable.

5. stress scenario. Turn 10. A stress scenario is an adverse hypothetical for examining consequences; it does not forecast the market or assign a probability.

6. funding gap. Turn 12. The funding gap is the \$12,000 difference between the stated \$60,000 need and the hypothetical \$48,000 remaining amount.

7. Diversification. Turn 14. Diversification spreads exposures and can reduce some concentration risks, but it does not guarantee against loss at the required date.

8. risk profile. Turn 16. The risk profile combines willingness, capacity, goals, and constraints; preserving all of them avoids reducing the client to one label.

9. IPS. Turn 18. The investment policy statement records agreed objectives and guidelines; it can provide a reference when goals or circumstances change.

10. investment constraints. Turn 20. Investment constraints are limits affecting the choices; documenting them precedes, rather than substitutes for, a reviewed recommendation and client decision.

F Transfer conversation

Page 30

1. horizons

Adviser: "The goals have different investment horizons."

Six months and twenty years are distinct periods before or over which funds are needed.

2. flexibility

Client: "The tuition has less timing flexibility."

A near-term tuition date may constrain the ability to delay spending after an adverse outcome.

3. capacity

Adviser: "We must verify other resources before assessing loss capacity."

Financial ability to absorb a loss depends on resources and consequences, not only willingness.

4. allocation

Client: "Do not treat one risk label as an approved allocation."

A general label does not establish the investment distribution appropriate for both distinct goals.

04 Briefing and language checks

Retirement Planning, Income, Tax-Aware Conversations, and RMDs

04

A Briefing checks / page 31

1. What is the 5% figure?

A. A fixed annual model assumption

The chart uses 5% as an input, not a promise, historical measurement, or established tax rate.

2. What does this illustration exclude?

C. Taxes and fees, with no varying-return sequence modeled

The briefing identifies taxes, fees, and changing annual returns as limitations that affect interpretation.

3. What has been approved?

B. No retirement date or withdrawal instruction

The illustration has not produced an approved retirement decision, withdrawal instruction, or individualized distribution calculation.

D Language checks / page 36

1. Which sentence accurately describes the chart?

C. It projects withdrawals using a fixed return assumption and omits taxes and fees.

The correct statement preserves the model inputs and exclusions instead of turning an illustration into a promise.

2. Which question tests purchasing-power interpretation?

B. Are the amounts nominal, and how is inflation reflected?

Nominal amounts need an inflation interpretation before the client treats them as constant real spending capacity.

3. Which distinction is correct?

A. A required distribution is not automatically a sustainable spending recommendation.

A rule-based minimum and a personalized sustainable spending assessment serve different purposes.

4. What does sequence risk concern?

B. The order of investment returns when withdrawals or other cash flows occur

Different return sequences can affect outcomes when cash moves into or out of the portfolio, even with similar summary returns.

04 Conversation answers

Retirement Planning, Income, Tax-Aware Conversations, and RMDs

E Dialogue gaps

Pages 37-38

- 1. projection.** Turn 2. A projection is a modeled estimate based on premises; it is not a contractual promise of monthly income.
- 2. return assumption.** Turn 4. The return assumption is an input to the chart; a constant modeled rate does not establish constant actual investment performance.
- 3. fees.** Turn 6. Fees are costs omitted from this version; their absence limits how the projected withdrawal relates to money available to the client.
- 4. nominal amounts.** Turn 8. Nominal amounts are money figures without an inflation adjustment; they do not assure constant purchasing power over time.
- 5. sequence risk.** Turn 10. Sequence risk concerns return order when cash flows occur; withdrawals can make early losses matter differently from later losses.
- 6. Monte Carlo simulation.** Turn 12. Monte Carlo simulation explores repeated modeled paths; its results depend on assumptions and do not remove uncertainty about actual outcomes.
- 7. planning horizon.** Turn 14. The planning horizon sets how long needs and resources are modeled; changing it can materially alter the apparent outcome.
- 8. RMD.** Turn 16. An RMD is a withdrawal requirement under applicable retirement-account rules, not automatically a sustainable or recommended spending amount.
- 9. account type.** Turn 18. Account type and personal circumstances affect distribution and tax analysis; the missing records prevent a reliable individualized conclusion.
- 10. assumptions.** Turn 20. Assumptions determine the modeled outcome; reviewing them and the exclusions is necessary before relying on the illustration for a decision.

F Transfer conversation

Page 39

1. withholding

Adviser: "The \$1,000 is withholding from the payment."

Withholding is an amount retained toward tax, not necessarily the final amount owed.

2. liability

Client: "It does not automatically equal my final tax liability."

The final obligation depends on the applicable tax calculation and circumstances, which remain unreviewed.

3. review

Adviser: "That question requires your full circumstances and qualified review."

A reliable individualized tax conclusion needs the relevant facts and appropriate professional assessment.

4. figures

Client: "Please keep the distribution and tax-estimate figures separate."

The payment amount, withheld amount, and estimated final tax answer different questions and must not be merged.

05 Briefing and language checks

Portfolio Reviews, Volatility, Rebalancing, and Behavioral Coaching

A Briefing checks / page 40

05

1. Which amounts explain the \$15,000 decline in account value?

B. \$10,000 withdrawal, \$1,000 fees, and \$4,000 negative investment change

The three stated components total the decline from \$100,000 to \$85,000 without treating the withdrawal as market performance.

2. What is not yet verified?

C. The performance-return method and allocation-policy comparison

The briefing distinguishes the verified dollar bridge from the unfinished return-method and allocation review.

3. What does Victor's question currently establish?

C. A concern and a request for discussion, not a confirmed transaction instruction

The case expressly says no transaction instruction has been confirmed, despite the question about selling.

D Language checks / page 45

1. Which response combines empathy and accurate explanation?

C. The lower balance is concerning; let us separate the withdrawal, fees, and investment change.

The response acknowledges the concern while preserving all three components without exaggerating or dismissing investment loss.

2. Which calculation matches the supplied bridge?

D. \$100,000 minus \$10,000 minus \$1,000 minus \$4,000 equals \$85,000.

The arithmetic reconciles the balances using the specifically supplied withdrawal, fee, and investment-change components.

3. What remains necessary before quoting a performance percentage?

B. Verify the cash-flow timing and calculation method.

A valid return calculation depends on method and cash flows; the reconciled dollar change alone does not establish it.

4. Which next step respects the unconfirmed instruction?

D. Clarify Victor's intent and complete the required review and authorization.

The case contains a question, not a confirmed instruction; clarification and the applicable process preserve client agency and accuracy.

05 Conversation answers

Portfolio Reviews, Volatility, Rebalancing, and Behavioral Coaching

E Dialogue gaps

Pages 46-47

1. closing balance. Turn 2. The closing balance is the end value; its decline needs explanation but is not automatically all investment loss.

2. withdrawal. Turn 4. A withdrawal removes money from the account; separating it prevents the client's own cash removal from being counted as market loss.

3. reconciliation. Turn 6. Reconciliation connects the opening balance to the closing balance through the reported components without merging different causes.

4. performance-return method. Turn 8. The performance-return method determines how cash-flow timing is handled; a simple division may not match the appropriate reported return.

5. Market movement. Turn 10. Market movement is uncertain; the known statement change does not establish the timing or existence of a future recovery.

6. transaction instruction. Turn 12. A transaction instruction authorizes a specified action through the relevant process; Victor has clarified that he is currently asking about options.

7. Rebalancing. Turn 14. Rebalancing adjusts exposures toward the intended policy or target; it is not simply an immediate sale in response to a decline.

8. allocation drift. Turn 16. Allocation drift measures departure from the intended distribution; the case has not yet completed that comparison.

9. transaction costs. Turn 18. Transaction costs are expenses of implementing trades; they matter alongside possible taxes and the purpose of a proposed change.

10. review steps. Turn 20. Review steps identify the unfinished performance and allocation work, keeping the response concrete without implying an approved transaction.

F Transfer conversation

Page 48

1. contribution

Adviser: "The higher balance includes a \$10,000 contribution."

Added client money increases account value independently of the investment result.

2. decline

Client: "The investment component is still a \$2,000 decline."

The supplied investment change is negative even though the closing account value exceeds the opening value.

3. balance

Adviser: "The three amounts reconcile to the \$58,000 closing balance."

Fifty thousand plus ten thousand minus two thousand equals the stated closing account value.

4. return

Client: "A larger account value does not by itself prove a positive return."

Contributions can raise value despite negative investment results, so value growth alone does not establish performance return.

05

06 Briefing and language checks

Products, Account Types, Rollovers, Annuities, Insurance, and Alternatives

A Briefing checks / page 49

1. Which service difference is stated?

C. A offers on-request support; B offers quarterly reviews

The case distinguishes support arrangements, not return guarantees or unlisted professional services.

2. What transfer-out charges does the full schedule show?

C. A: \$75; B: none

The complete schedule supplies the missing transfer-out terms, while other cost and tax questions remain open.

3. What remains unreviewed?

B. Product expenses, existing account type, and tax effects

The briefing separates known account-service facts from outstanding product and transfer-related review.

D Language checks / page 54

1. Which comparison includes the supplied material differences?

A. A: \$120 annual fee, \$75 transfer-out, on-request support; B: \$240 annual fee, no transfer-out charge, quarterly reviews.

The complete comparison preserves each known fee and service difference without inferring returns or overall suitability.

2. What should an omitted product-expense figure be labeled?

C. Not yet reviewed, rather than assumed zero

The briefing leaves product expenses unreviewed, so a missing entry cannot truthfully be treated as no cost.

3. Which question clarifies a proposed move?

A. Will assets transfer in kind or be sold, and what rules and costs apply?

Transfer mechanics, account rules, costs, and possible tax effects need verification before describing consequences.

4. Which statement properly limits a product guarantee?

A. Its scope and conditions depend on the contract and responsible issuer.

Product terms and issuer obligations determine the promise; the label alone does not eliminate costs, restrictions, or risk.

06 Conversation answers

Products, Account Types, Rollovers, Annuities, Insurance, and Alternatives

E Dialogue gaps

Pages 55-56

- 1. transfer-out charge.** Turn 2. The transfer-out charge is an additional cost for leaving A; omission from the summary did not mean it was zero.
- 2. service level.** Turn 4. Service level identifies the support supplied; A offers on-request help while B includes scheduled quarterly reviews.
- 3. Product expenses.** Turn 6. Product expenses are a separate investment-cost layer; the case has not reviewed them for either account option.
- 4. account wrapper.** Turn 8. The account wrapper defines the legal or tax structure, which affects transfer rules separately from the investments held.
- 5. in-kind transfer.** Turn 10. An in-kind transfer moves eligible holdings without selling them in that process; availability depends on the assets and receiving arrangement.
- 6. Liquidation.** Turn 12. Liquidation sells holdings or converts them to cash, potentially creating costs and tax effects beyond a change of provider.
- 7. surrender charge.** Turn 14. A surrender charge may apply to early withdrawals or termination; a guarantee label does not establish unrestricted free access.
- 8. rider.** Turn 16. A rider is an optional contract feature with separate terms and possible cost; proximity to a quote does not establish inclusion.
- 9. product comparison.** Turn 18. A product comparison uses consistent criteria and verified terms; an incomplete fee table is not a sufficient recommendation.
- 10. rollover.** Turn 20. A rollover moves eligible retirement assets under applicable rules; changing providers does not by itself establish that it is appropriate.

F Transfer conversation

Page 57

1. category

Adviser: "No exit charge describes one cost category."

The absence of one type of charge does not establish that every other cost is zero.

2. expenses

Client: "We still need the ongoing expenses."

The case expressly leaves recurring expenses unreviewed, so they remain part of the comparison.

3. verification

Adviser: "Possible transaction costs also require verification."

Those costs are unknown and need checking before a complete cost claim can be made.

4. conclusion

Client: "Then cost-free would be an unsupported conclusion."

The known exit term does not support a conclusion that all charges and expenses are absent.

07 Briefing and language checks

Family, Estate, Beneficiaries, Elder Risk, and Difficult Client Moments

A Briefing checks / page 58

1. What role does the daughter currently have in the stated record?

A. Trusted contact, without verified transaction authority

The record identifies a trusted contact, which does not itself confer ownership, beneficiary status, or transaction authority.

2. What does Carla want preserved?

B. Her role as decision-maker

The briefing expressly states Carla wants to remain the decision-maker while receiving help with the review process.

3. What is the current change status?

A. No beneficiary change is submitted or confirmed

The request concerns reviewing details; it is not evidence of a submitted, accepted, or effective change.

D Language checks / page 63

1. Which explanation accurately separates the daughter's roles?

B. Trusted-contact status does not itself make her a beneficiary or transaction agent.

The trusted-contact role allows limited contact under the relevant arrangements, not automatic beneficiary status or decision authority.

2. Which response respects Carla's agency?

B. Address Carla directly and ask how she wants family involved.

Carla's preference and verified authority should guide the interaction; grief does not automatically remove decision-making agency.

3. Which status update is supported?

D. The review is requested; no change is submitted or confirmed.

The case describes a request for review, not a completed administrative or legal change.

4. Which issue should Devin route for qualified review?

B. How the account designation interacts with estate documents and applicable law

The interaction of account terms and estate law exceeds a service explanation and requires the assigned qualified assessment.

07 Conversation answers

Family, Estate, Beneficiaries, Elder Risk, and Difficult Client Moments

E Dialogue gaps

Pages 64-65

- 1. trusted contact.** Turn 2. A trusted contact may be contacted in limited circumstances; that designation does not itself name a beneficiary or authorize transactions.
- 2. authority.** Turn 4. Authority must be established for the particular action; a family relationship or contact listing does not confer control of the account.
- 3. identity verification.** Turn 6. Identity verification establishes the person requesting access through the approved process before current account details are reviewed.
- 4. beneficiary designation.** Turn 8. A beneficiary designation records benefit recipients under the relevant terms; inspecting it is not the same as changing it.
- 5. privacy preferences.** Turn 10. Privacy preferences identify the client's communication choices; family involvement does not automatically permit unrestricted information sharing.
- 6. legal review.** Turn 12. Legal review assesses the interaction of account terms, estate documents, and applicable law; a service colleague should not assume a universal outcome.
- 7. power of attorney.** Turn 14. A power of attorney can grant specified legal authority subject to its terms and law; it is distinct from trusted-contact status.
- 8. capacity concern.** Turn 16. A capacity concern requires specific observations and appropriate assessment; needing time or grieving does not by itself establish incapacity.
- 9. safeguarding.** Turn 18. Safeguarding provides a process for concerns about harm or pressure while respecting the client's rights and role.
- 10. case note.** Turn 20. A case note records the client's actual request and limits; it must not convert a review inquiry into a beneficiary-change instruction.

F Transfer conversation

Page 66

1. authority

Colleague: "A family relationship does not establish disclosure authority."

Being a relative does not by itself verify permission or legal power to receive private account information.

2. checks

Caller: "You need to complete the appropriate identity and permission checks."

The case leaves identity and authorization unverified, so the approved checks must precede disclosure.

3. balance

Colleague: "Until then, I cannot share the account balance."

The balance is private account information and no basis for disclosing it to this caller is established.

4. process

Caller: "Please explain the approved verification process."

A service colleague can explain the route for establishing permission without revealing the protected information.

08 Briefing and language checks

Practice Management, Documentation, Complaints, Marketing, and Supervision

A Briefing checks / page 67

1. What question remains unanswered?

D. Why two similarly described \$300 entries were posted

The firm acknowledged receipt but has not explained the two entries that prompted the complaint.

2. What is scheduled for Friday?

C. A status update

Friday is an update point only; the case expressly does not guarantee a final decision then.

3. What conclusion has been approved?

A. Neither a duplicate-charge finding nor a refund

The entry review is incomplete, so neither the cause nor the remedy has been approved.

D Language checks / page 72

1. Which opening addresses the actual communication failure?

B. Our acknowledgment did not explain the two entries; that question remains open.

The correct opening names the unanswered question and distinguishes receipt from a substantive response.

2. Which Friday promise is supported?

A. We will provide the scheduled status update.

The case authorizes a progress update, not a guaranteed remedy, final determination, or record deletion.

3. Which statement matches the evidence on the charges?

D. The similar descriptions need review; a duplicate is not established.

Similar descriptions and amounts justify checking but do not by themselves determine the underlying transactions.

4. Which handoff best preserves the complaint?

A. Include the original concern, entry references, incomplete checks, owner, and update date.

The detailed handoff lets the responsible team address the actual issue and track what remains unfinished.

08 Conversation answers

Practice Management, Documentation, Complaints, Marketing, and Supervision

E Dialogue gaps

Pages 73-74

- 1. acknowledgment.** Turn 2. An acknowledgment confirms receipt; it does not explain the entries or establish that the complaint has been resolved.
- 2. substantive response.** Turn 4. A substantive response addresses the actual complaint and evidence, rather than offering another receipt confirmation or general reassurance.
- 3. duplicate-charge finding.** Turn 6. A duplicate-charge finding would conclude that an amount was improperly repeated; similar descriptions alone do not establish that result.
- 4. complaint owner.** Turn 8. The complaint owner is responsible for progressing the assessment; naming that role makes the handoff accountable rather than vague.
- 5. status update.** Turn 10. A status update reports progress and open work; the case does not authorize promising a final decision on that date.
- 6. refund.** Turn 12. A refund is a repayment requiring the applicable decision; the incomplete review does not support promising one now.
- 7. correspondence log.** Turn 14. The correspondence log retains communications and their sequence, helping the review trace the original concern and the response gap.
- 8. escalation.** Turn 16. Escalation routes the concern for further attention through the applicable process; accepting an update date does not withdraw the complaint.
- 9. handoff.** Turn 18. The handoff preserves the substantive fee question and requested assessment, rather than reducing the complaint to general dissatisfaction with service tone.
- 10. resolution.** Turn 20. Resolution requires an outcome addressing the complaint through the applicable process; sending another email alone does not complete it.

F Transfer conversation

Page 75

1. use

Colleague: "The private comment is not yet approved for public use."

A favorable private message does not itself authorize publication in a promotional communication.

2. disclosures

Supervisor: "Verify the required permission and any relevant disclosures."

Publication may require permission and material information under the applicable rules and process.

3. review

Colleague: "The proposed advertisement still needs supervisory review."

The case expressly leaves the required oversight assessment incomplete.

4. version

Supervisor: "Keep the draft separate from the approved version."

Version control prevents an unreviewed promotional draft from being mistaken for an authorized communication.

08

Find the move you need

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

01 Advisor English: Discovery, Scope, Trust, and Boundaries

Acknowledge the aim: You want retirement to feel financially secure and manageable.

Check the basis: Are these amounts in today's money or projected future amounts?

Close the meeting: We will confirm the information and service scope before a personalized recommendation.

Full phrase set: pages 7-8 | Dialogue: pages 10-11

02 Standards of Conduct, Best Interest, Disclosures, and Conflicts

Name the arrangement: This advisory service uses the fee basis in the current agreement.

Explain billing: Actual quarterly bills follow the agreement's calculation method.

Close with the documents: Let us review the services, costs, and conflicts together.

Full phrase set: pages 16-17 | Dialogue: pages 19-20

03 Goals, Risk Profile, Asset Allocation, and IPS Language

Acknowledge willingness: You are comfortable with fluctuations; let us check the consequences for this goal.

Test capacity: What resources would cover a shortfall without disrupting essential needs?

Close with the profile: We will document the goal and constraints before recommending an allocation.

Full phrase set: pages 25-26 | Dialogue: pages 28-29

04 Retirement Planning, Income, Tax-Aware Conversations, and RMDs

Acknowledge the reaction: I understand why the chart looked reassuring.

Identify exclusions: This version excludes taxes and fees.

Close with revision: We will review the assumptions before using the chart to support a retirement decision.

Full phrase set: pages 34-35 | Dialogue: pages 37-38

Keep the conversation productive

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

05 Portfolio Reviews, Volatility, Rebalancing, and Behavioral Coaching

Acknowledge concern: I can see why the lower balance concerns you.

Avoid dismissal: The investment decline still deserves explanation.

Close with a review: We will review the allocation and relevant consequences before any recommendation.

Full phrase set: pages 43-44 | Dialogue: pages 46-47

06 Products, Account Types, Rollovers, Annuities, Insurance, and Alternatives

State the known fees: A charges \$120 annually; B charges \$240 annually.

Preserve the gap: Product expenses are not yet included in this comparison.

Close with the terms: We will complete the comparison before discussing a recommendation.

Full phrase set: pages 52-53 | Dialogue: pages 55-56

07 Family, Estate, Beneficiaries, Elder Risk, and Difficult Client Moments

Acknowledge the loss: I am sorry for your loss; we can take this one step at a time.

Separate designations: Trusted contact and beneficiary are different account roles.

Close with confirmation: We will distinguish the request, submission, and confirmed update.

Full phrase set: pages 61-62 | Dialogue: pages 64-65

08 Practice Management, Documentation, Complaints, Marketing, and Supervision

Acknowledge the gap: Our earlier message confirmed receipt but did not answer your question.

Name the owner: The assigned complaints team is responsible for the assessment.

Close with substance: The next update will say what has been checked and what remains open.

Full phrase set: pages 70-71 | Dialogue: pages 73-74

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

account owner verify the account owner	59
account value reconcile the change in account value	41
account wrapper distinguish the account wrapper from the investment	50
acknowledgment send an acknowledgment	68
advertisement review an advertisement before use	69
advisory capacity clarify advisory capacity	14
allocation drift assess allocation drift	42
allocation range define an allocation range	24
annuity review the annuity contract	51
approval workflow follow the approval workflow	69
asset class compare asset-class exposures	24
asset summary prepare an asset summary	5
asset-based fee explain the asset-based fee	14
authorized representative confirm the authorized representative	60
behavioral coaching provide respectful behavioral coaching	42
beneficiary review the named beneficiary	59
beneficiary designation verify the beneficiary designation	59
bereavement offer sensitive bereavement support	60
best interest discuss the best-interest obligation	14
billable assets identify billable assets	14
billing period confirm the billing period	14
brokerage capacity identify brokerage capacity	14
capacity concern escalate a capacity concern respectfully	60
capital preservation discuss the capital-preservation objective	23

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

case note make an accurate case note	60
case reference quote the case reference	68
cash value distinguish cash value from a benefit amount	51
cherry-picking avoid cherry-picking results	69
closing balance confirm the closing balance	41
commission disclose the commission structure	15
compensation describe the compensation arrangement	14
complaint record a client complaint	68
complaint owner identify the complaint owner	68
concentration identify portfolio concentration	24
conflict mitigation explain conflict-mitigation measures	15
conflict of interest disclose a relevant conflict of interest	15
consent obtain appropriate client consent	60
constraint document a planning constraint	6
contingent beneficiary review contingent-beneficiary details	59
contribution identify external contributions	41
correlation assess changing correlations	24
correspondence log update the correspondence log	69
cost basis verify the cost basis	42
custody fee check applicable custody fees	15
dependant identify financial dependants	6
deterministic model identify deterministic-model limits	32
direct transfer confirm the direct-transfer procedure	50
disclosure explain the relevant disclosure	14

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

discovery meeting	conduct a discovery meeting	5
discretionary spending	distinguish discretionary spending	5
distribution	document the distribution request	33
diversification	explain diversification limits	24
dual registrant	explain a dual registrant's roles	14
effective change	confirm an effective change	60
emergency reserve	discuss the emergency reserve	6
employer-sponsored plan	review employer-plan features	50
endorsement	review an endorsement disclosure	69
engagement agreement	review the engagement agreement	5
escalation	route a complaint escalation	68
essential spending	identify essential spending	5
estate	refer estate questions to qualified counsel	59
executor	verify executor documentation	59
exit charge	disclose an applicable exit charge	50
expense ratio	identify the fund expense ratio	15
fact-find	complete the client fact-find	5
fee deduction	identify fee deductions	41
fee schedule	consult the current fee schedule	15
fiduciary duty	clarify the scope of fiduciary duty	14
financial exploitation	escalate suspected financial exploitation	60
financial goal	clarify a financial goal	5
fixed annuity	explain fixed-annuity conditions	51
Form CRS	review the current Form CRS	14

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

funding gap quantify the funding gap	23
goal flexibility assess goal flexibility	23
household cash flow review household cash flow	5
hypothetical performance qualify hypothetical performance	69
identity verification complete identity verification	60
in-kind transfer check in-kind transfer eligibility	50
incentive explain the financial incentive	15
income floor assess the proposed income floor	33
income source verify each income source	6
indexed annuity examine the indexed-annuity formula	51
inflation assumption review the inflation assumption	32
information gap identify an information gap	6
informed decision support an informed decision	15
insurer credit risk explain insurer credit risk	51
investigation status explain the investigation status	68
investment change verify the investment-change component	41
investment constraint document an investment constraint	24
investment horizon match the investment horizon to the goal	23
investment objective clarify the investment objective	23
IPS review the IPS	24
IRA verify the IRA type	50
joint ownership clarify the joint-ownership form	59
liability summary update the liability summary	5
liquidation explain liquidation consequences	50

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

liquidity need identify near-term liquidity needs	23
liquidity restriction explain liquidity restrictions	50
lockup confirm the lockup period	51
longevity risk assess longevity risk	32
loss aversion discuss loss aversion without labeling the client	42
loss threshold clarify the loss threshold	23
marginal tax rate distinguish the marginal tax rate	33
market movement separate market movement from withdrawals	41
markup explain a transaction markup	15
misleading omission correct a misleading omission	69
Monte Carlo simulation qualify Monte Carlo results	32
net cash flow reconcile net cash flows	41
net worth estimate household net worth	6
nominal amount label nominal amounts	32
opening balance verify the opening balance	41
pension benefit verify the pension-benefit estimate	33
pension statement obtain a current pension statement	6
performance return confirm the performance-return method	41
planning assumption label a planning assumption	6
planning horizon extend the planning horizon	33
planning scope define the planning scope	5
power of attorney review the power-of-attorney scope	59
primary beneficiary confirm the primary beneficiary	59
priority confirm the client's priority	6

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

privacy preference	record privacy preferences	60
product comparison	complete the product comparison	51
projection	distinguish a projection from a promise	32
prospectus	read the current prospectus	51
purchasing power	discuss purchasing-power changes	32
real return	distinguish real from nominal return	32
realized loss	explain a realized loss	42
rebalancing	review a rebalancing proposal	42
rebalancing trigger	agree a rebalancing trigger	24
recency bias	recognize possible recency bias	42
record retention	follow record-retention requirements	69
redemption window	identify the redemption window	51
referral payment	disclose a referral payment	15
refund	confirm an approved refund	68
remedy	consider an authorized remedy	68
required return	examine the required-return assumption	23
resolution	explain the complaint resolution	68
response deadline	distinguish update and response deadlines	68
retirement illustration	explain the retirement illustration	32
review cadence	confirm the review cadence	42
rider	review the rider charge	51
risk capacity	distinguish risk capacity from tolerance	23
risk profile	update the risk profile	23
risk tolerance	assess stated risk tolerance	23

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

RMD verify the RMD requirement	33
rollover evaluate a proposed rollover	50
Roth account verify the Roth account type	33
safeguarding follow the safeguarding process	60
scope limitation explain a scope limitation	6
secure channel use the secure document channel	6
sequence risk illustrate sequence-of-returns risk	32
service failure assess a reported service failure	68
service level compare the service levels	51
Social Security estimate review the Social Security estimate	33
spending estimate build a spending estimate	5
standard of conduct explain the applicable standard of conduct	14
statement reconciliation complete the statement reconciliation	41
stochastic model explain a stochastic model	32
strategic allocation review the strategic allocation	24
stress scenario explain a stress scenario	23
substantiation retain claim substantiation	69
substantive response provide a substantive response	68
suitability assessment support the suitability assessment	24
supervisory review obtain supervisory review	69
surrender charge review the surrender-charge schedule	50
survivor benefit review survivor-benefit conditions	33
tactical allocation distinguish tactical from strategic allocation	24
target retirement date confirm the target retirement date	5

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

target weight specify the target weight	24
tax basis verify the tax basis	33
tax consequence assess possible tax consequences	42
tax-deferred account identify tax-deferred accounts	33
taxable account identify a taxable account	50
testimonial assess a proposed testimonial	69
third-party charge identify third-party charges	15
threshold check the rebalancing threshold	42
time horizon distinguish planning time horizons	6
transaction cost estimate transaction costs	42
transfer-out charge identify the transfer-out charge	50
trust identify the trust arrangement	59
trusted contact update trusted-contact information	60
trustee verify the trustee's authority	59
turnover assess portfolio turnover	42
undue influence report a concern about undue influence	60
unrealized loss distinguish unrealized from realized loss	41
variable annuity explain variable-annuity risks	51
version control maintain approved-version control	69
will review the will with legal counsel	59
withdrawal separate withdrawals from investment results	41
withdrawal rate define the withdrawal-rate basis	32
withholding clarify tax withholding	33
wrap fee review wrap-fee exclusions	15

Original cases. Clear boundaries.

These are original fictional teaching conversations, not transcripts of real workers. Names, figures, organizations, and incidents are invented. Sources support terminology and communication aims, not the fictional results or an endorsement of this book.

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[Open the original source](#)

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[2] Investor.gov. How Fees and Expenses Affect Your Investment Portfolio.

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[Open the original source](#)

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Phil Stilwell

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